2026 Year Ahead

# Resilient economy & corporates S&P 500 Year-end Target: 7,700


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For Reg AC certification and other important disclosures see Slide 77.

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# S&P 500 Earnings Analysis

| 1Q26 Street Consensus EPS | |
|---|---|
| As of 3/31/26 | $70.61 |
| Current | $80.10 |
| *% change* | *13.5%* |

**$80 x 4 = $320 annualized EPS**

**Blended Y/Y growth includes actuals for companies that have reported and estimates for companies that have yet to report.**

**28% YoY**

## S&P 500 1Q26 Reported Earnings

Bottom-up based on constituents

| Sector name | # cos reported | % cos reported | 1Q26 Earnings results relative to consensus (bottom up): % cos beating | % cos missing | Surprise (%) | Relative return since 3/31/26 |
|---|---|---|---|---|---|---|
| S&P 500 (absolute) | 473 / 500 | 95% | 87% | 13% | 16.6% | 14.5% |
| Cyclicals | 232 / 246 | 94% | 88% | 12% | 23.5% | 6.6% |
| Near-Cyclicals | 127 / 128 | 99% | 83% | 17% | 8.1% | -11.1% |
| Defensives | 114 / 126 | 90% | 88% | 12% | 8.1% | -12.7% |
| Technology | 62 / 73 | 85% | 98% | 2% | 8.9% | 15.7% |
| Consumer Discretionary | 45 / 48 | 94% | 82% | 18% | 39.3% | -1.6% |
| Industrials | 79 / 79 | 100% | 89% | 11% | 18.8% | -8.5% |
| Basic Materials | 26 / 26 | 100% | 85% | 15% | 17.3% | -13.9% |
| Communication Services | 20 / 20 | 100% | 70% | 30% | 53.0% | 2.9% |
| Financials | 75 / 76 | 99% | 85% | 15% | 6.7% | -9.5% |
| Real Estate | 31 / 31 | 100% | 77% | 23% | 3.3% | -5.7% |
| Energy | 21 / 21 | 100% | 86% | 14% | 19.3% | -18.6% |
| Healthcare | 55 / 59 | 93% | 89% | 11% | 10.3% | -12.5% |
| Consumer Staples | 28 / 36 | 78% | 89% | 11% | 5.2% | -11.6% |
| Utilities | 31 / 31 | 100% | 84% | 16% | 5.7% | -16.0% |

## 1Q26 Y/Y Earnings Growth

Bottom-up based on constituents

| Sector name | 1Q26 Y/Y Earnings growth: Actual (cos that reported) | Estimates (cos yet to report) | Blend of actuals & estimates |
|---|---|---|---|
| S&P 500 (absolute) | 28.5% | 22.7% | 28.2% |
| Cyclicals | 46.0% | 30.5% | 45.2% |
| Near-Cyclicals | 16.0% | — | 16.0% |
| Defensives | 2.6% | 0.9% | 2.5% |
| Technology | 54.9% | 33.8% | 52.6% |
| Consumer Discretionary | 42.2% | -11.9% | 40.7% |
| Industrials | 20.9% | — | 20.9% |
| Basic Materials | 40.7% | — | 40.7% |
| Communication Services | 49.5% | — | 49.5% |
| Financials | 20.7% | — | 20.7% |
| Real Estate | 5.2% | — | 5.2% |
| Energy | 2.7% | — | 2.7% |
| Healthcare | -3.0% | 0.1% | -2.9% |
| Consumer Staples | 7.8% | 1.9% | 7.3% |
| Utilities | 16.0% | — | 16.0% |

Source: Fundstrat, FactSet

Note: "Surprise %" is a weighted average based on fiscal quarter actual results vs. estimated results. The earnings results of REITs are based on Funds from Operations (FFO). To adjust for fiscal quarter-end differences, the Y/Y growth calculation is based on calendarized Net Income. Y/Y growth is weighted based on Net Income. The Y/Y growth of REIT earnings is based on Funds from Operations (FFO).

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# S&P 500 Sales Analysis

**Blended Y/Y growth includes actuals for companies that have reported and estimates for companies that have yet to report.**

**11% YoY**

## S&P 500 1Q26 Reported Sales

Bottom-up based on constituents

| Sector name | # cos reported | % cos reported | 1Q26 Sales results relative to consensus (bottom up): % cos beating | % cos missing | Surprise (%) | Relative return since 3/31/26 |
|---|---|---|---|---|---|---|
| S&P 500 (absolute) | 473 / 500 | 95% | 81% | 19% | 1.8% | 14.5% |
| Cyclicals | 232 / 246 | 94% | 86% | 14% | 2.2% | 6.6% |
| Near-Cyclicals | 127 / 128 | 99% | 70% | 30% | 1.0% | -11.1% |
| Defensives | 114 / 126 | 90% | 82% | 18% | 1.7% | -12.7% |
| Technology | 62 / 73 | 85% | 92% | 8% | 2.8% | 15.7% |
| Consumer Discretionary | 45 / 48 | 94% | 80% | 20% | 1.5% | -1.6% |
| Industrials | 79 / 79 | 100% | 84% | 16% | 2.4% | -8.5% |
| Basic Materials | 26 / 26 | 100% | 88% | 12% | 3.3% | -13.9% |
| Communication Services | 20 / 20 | 100% | 90% | 10% | 1.6% | 2.9% |
| Financials | 75 / 76 | 99% | 65% | 35% | 0.9% | -9.5% |
| Real Estate | 31 / 31 | 100% | 81% | 19% | 2.5% | -5.7% |
| Energy | 21 / 21 | 100% | 71% | 29% | 1.0% | -18.6% |
| Healthcare | 55 / 59 | 93% | 84% | 16% | 1.2% | -12.5% |
| Consumer Staples | 28 / 36 | 78% | 89% | 11% | 1.0% | -11.6% |
| Utilities | 31 / 31 | 100% | 74% | 26% | 7.4% | -16.0% |

## 1Q26 Y/Y Sales Growth

Bottom-up based on constituents

| Sector name | 1Q26 Y/Y Sales growth: Actual (cos that reported) | Estimates (cos yet to report) | Blend of actuals & estimates |
|---|---|---|---|
| S&P 500 (absolute) | 11.1% | 15.1% | 11.3% |
| Cyclicals | 14.8% | 25.4% | 15.3% |
| Near-Cyclicals | 8.6% | — | 8.6% |
| Defensives | 8.1% | 2.9% | 7.8% |
| Technology | 29.3% | 30.2% | 29.4% |
| Consumer Discretionary | 9.8% | 2.2% | 9.6% |
| Industrials | 8.1% | — | 8.1% |
| Basic Materials | 9.2% | — | 9.2% |
| Communication Services | 13.6% | — | 13.6% |
| Financials | 10.9% | — | 10.9% |
| Real Estate | 11.5% | — | 11.5% |
| Energy | 4.1% | — | 4.1% |
| Healthcare | 7.0% | 8.2% | 7.0% |
| Consumer Staples | 8.5% | 2.0% | 7.6% |
| Utilities | 14.3% | — | 14.3% |

Source: Fundstrat, FactSet

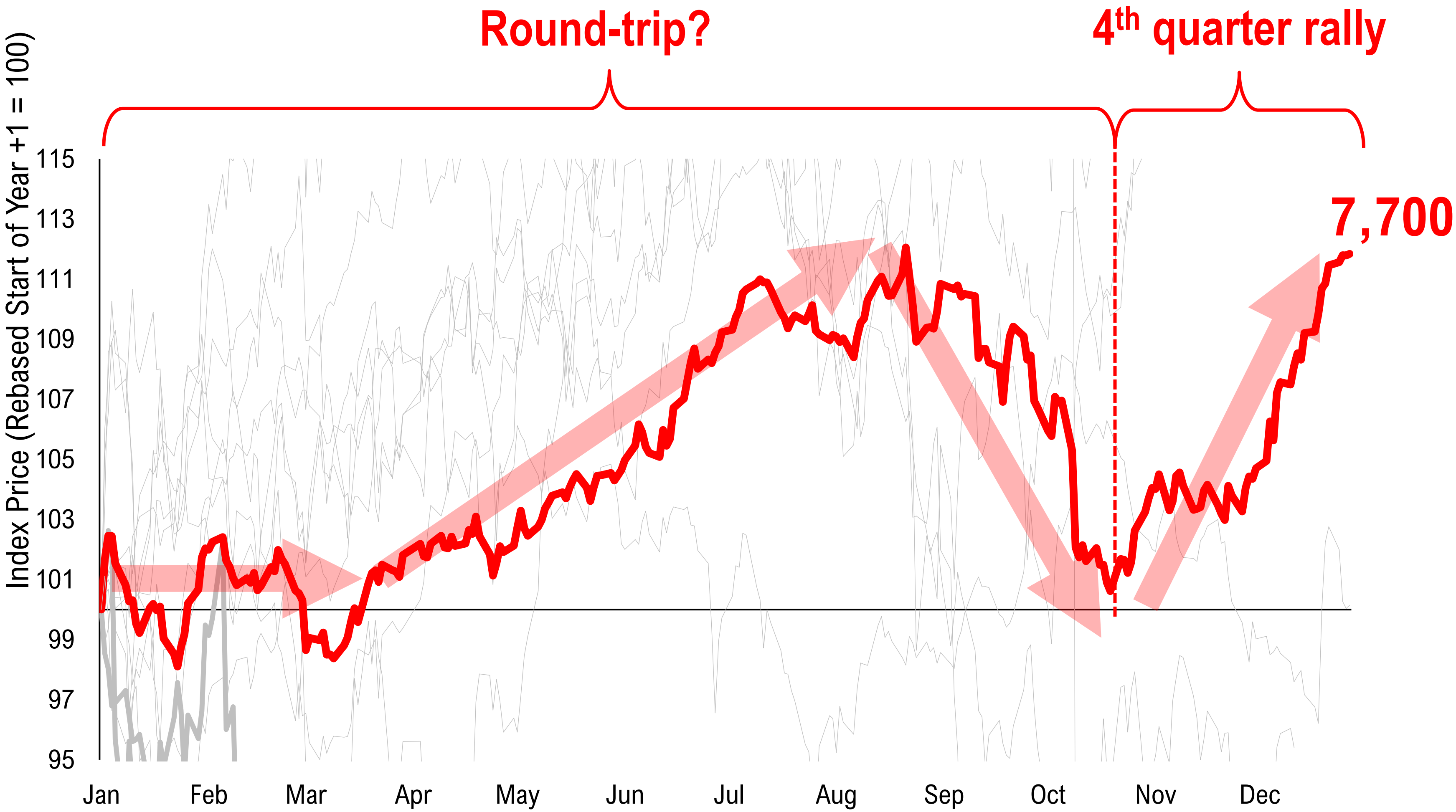
Note: "Surprise %" is a weighted average based on fiscal quarter actual results vs. estimated results. to adjust for fiscal quarter-end differences, the Y/Y growth calculation is based on calendarized Sales. Y/Y growth is weighted based on Sales.

# 2026: Resilience and US exceptionalism

1. **3 Phase Market**
2. **7 Black Swans:** Argues for higher P/E
3. **US relative position:** Compute and Energy
4. **Challenges later in 2026:** Driver for Phase 2?
5. **New Fed:** Market always challenges new Fed
6. **Demographic tailwind:** S&P 500 15,000 by 2030

# HISTORICAL COMPOSITE: Gains possibly “back-ended” towards YE

**Daily Index Performance in Year +1 After Three Consecutive >=+20% Gains**
Since 1928




Source: Fundstrat, Bloomberg

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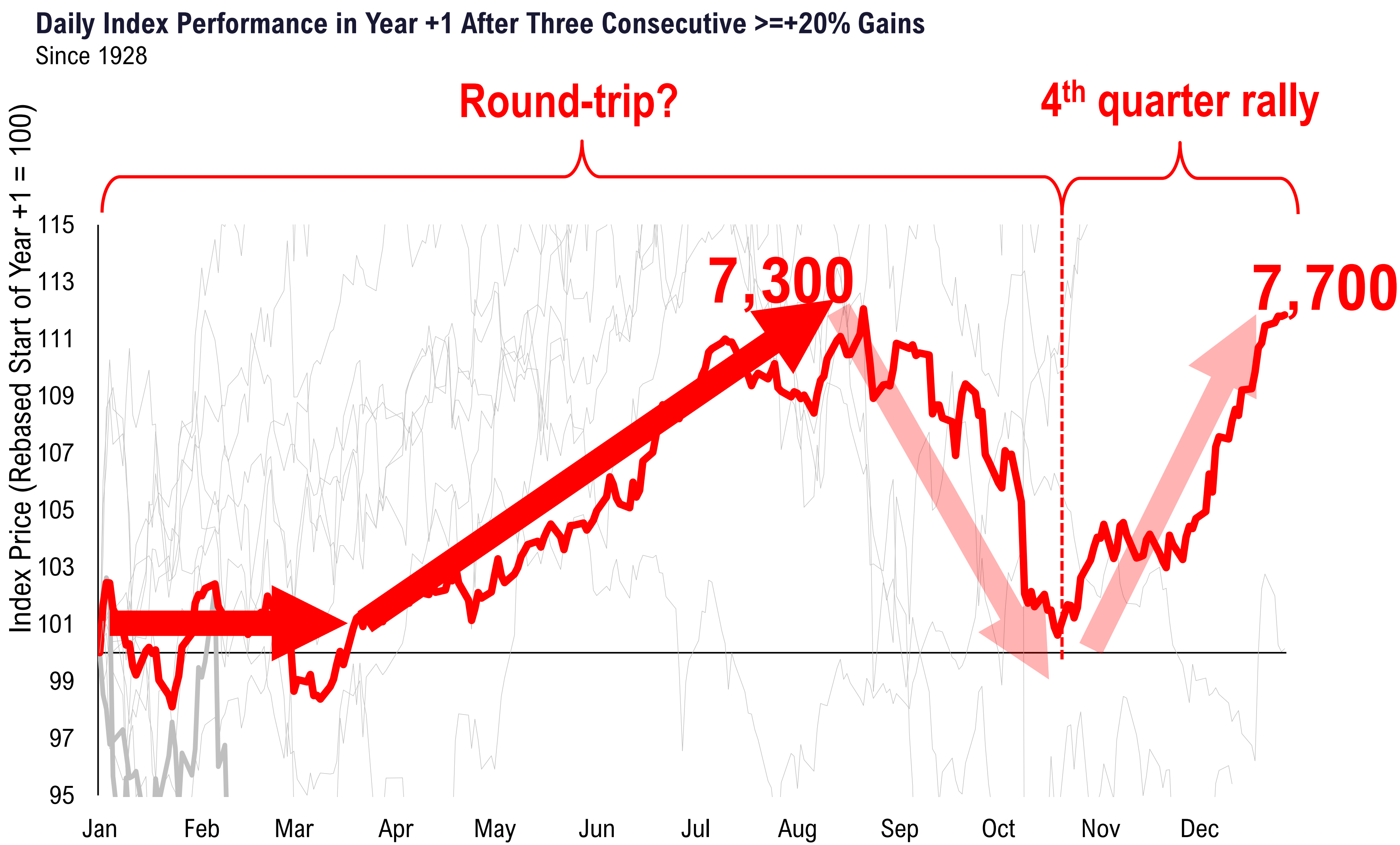


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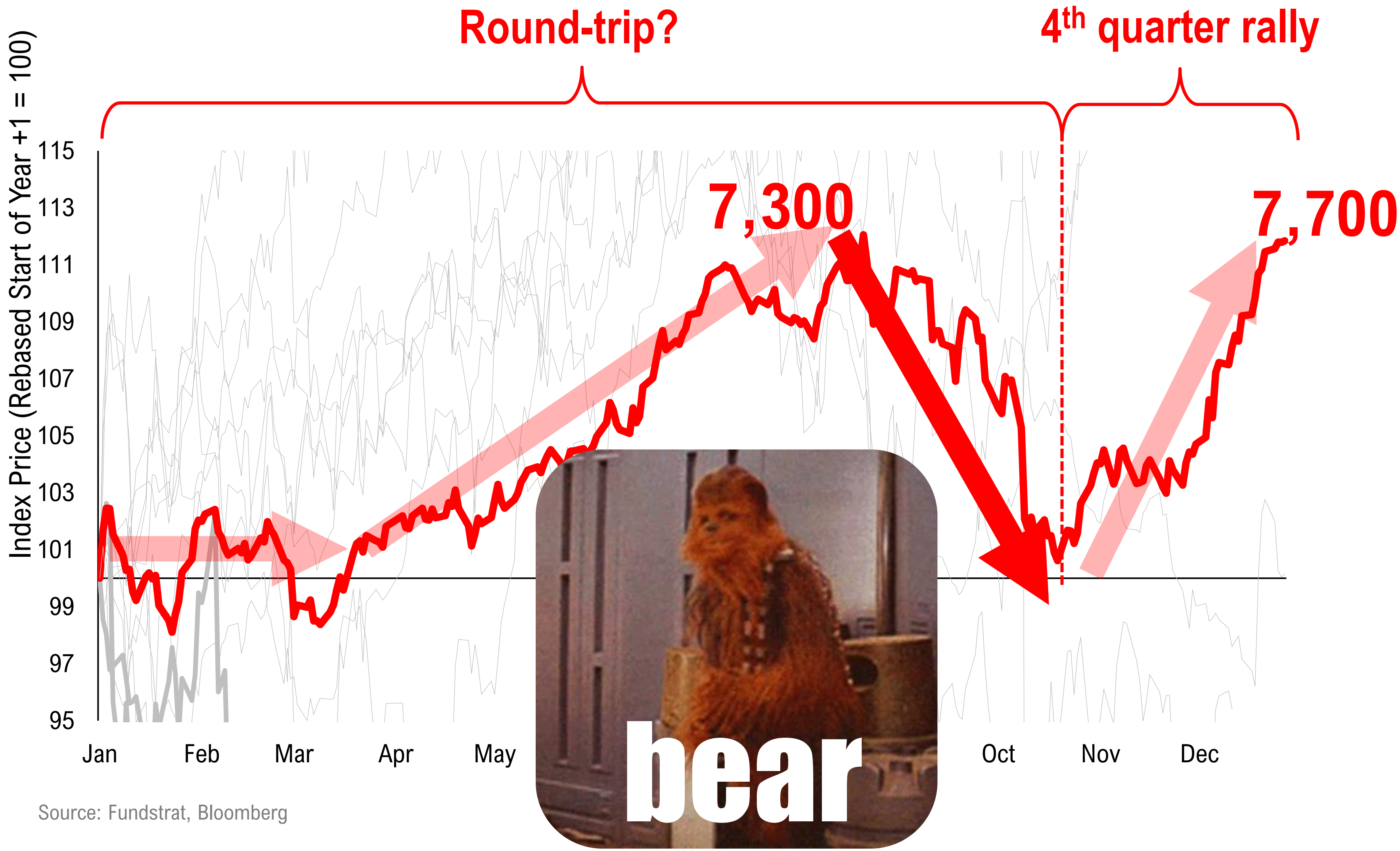


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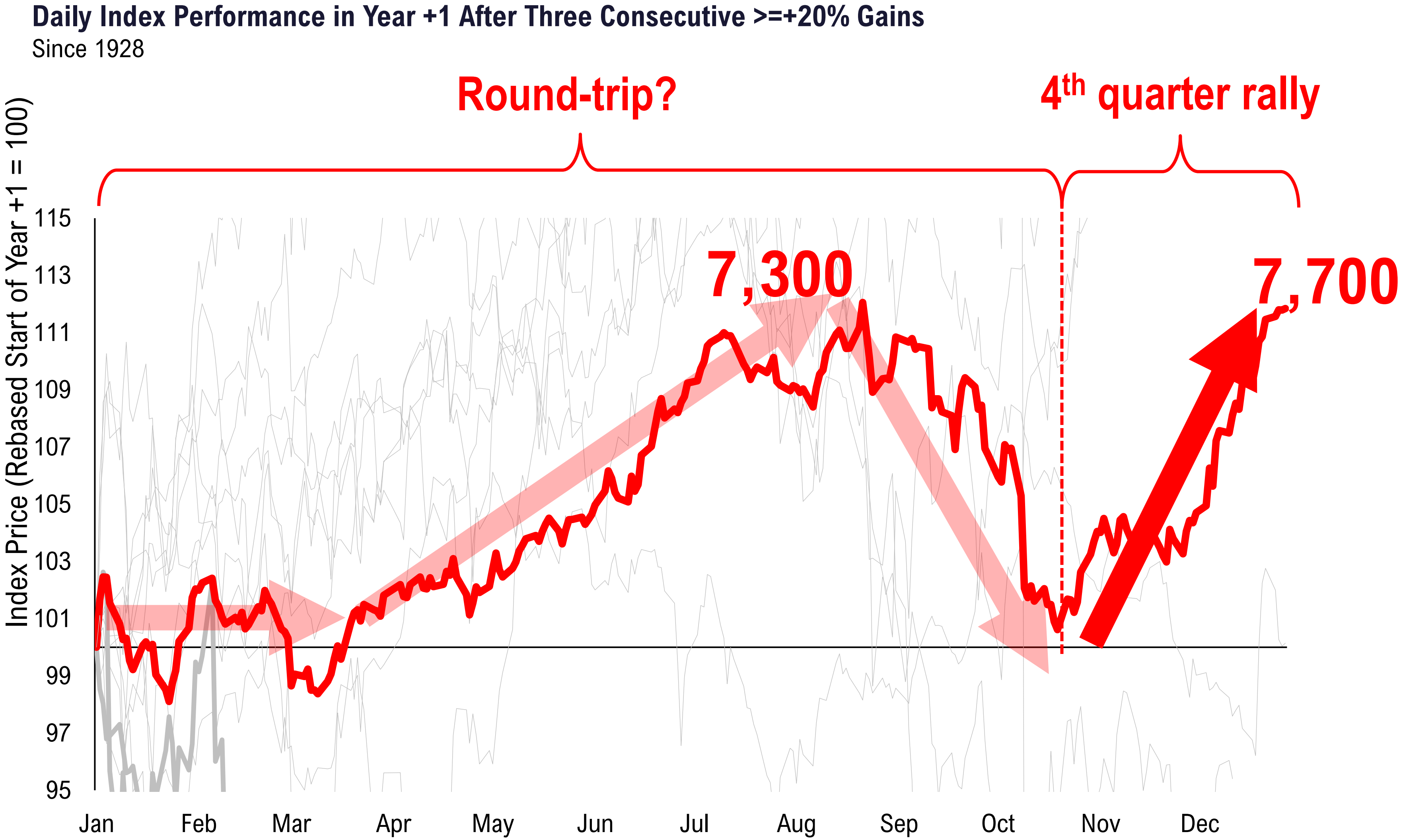


Source: Fundstrat, Bloomberg

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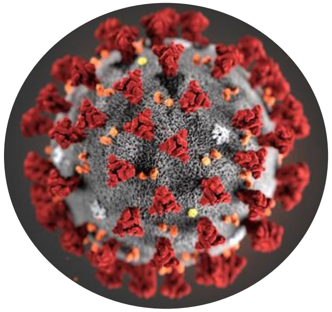
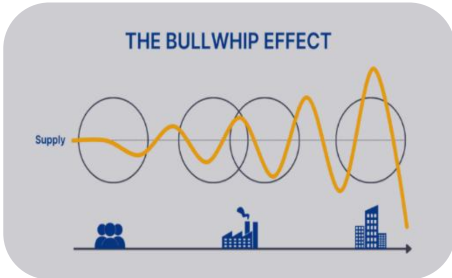
# MEDIAN PE: Surviving 7 "black swans" but lower PE

**2020:**
**COVID**
**shutdown**



**2021:**
**Bullwhip**
**Supply Chain**




**2022:**
**Inflation**
**Cycle**

**2022-2023:**
**Fastest Fed**
**hikes in history**

**April 2025:**
**Tariff Global**
**disruption**

**June 2025:**
**USA bombs Iran**
**Nuclear Facility**

**February 2026:**
**USA Iran**
**War**

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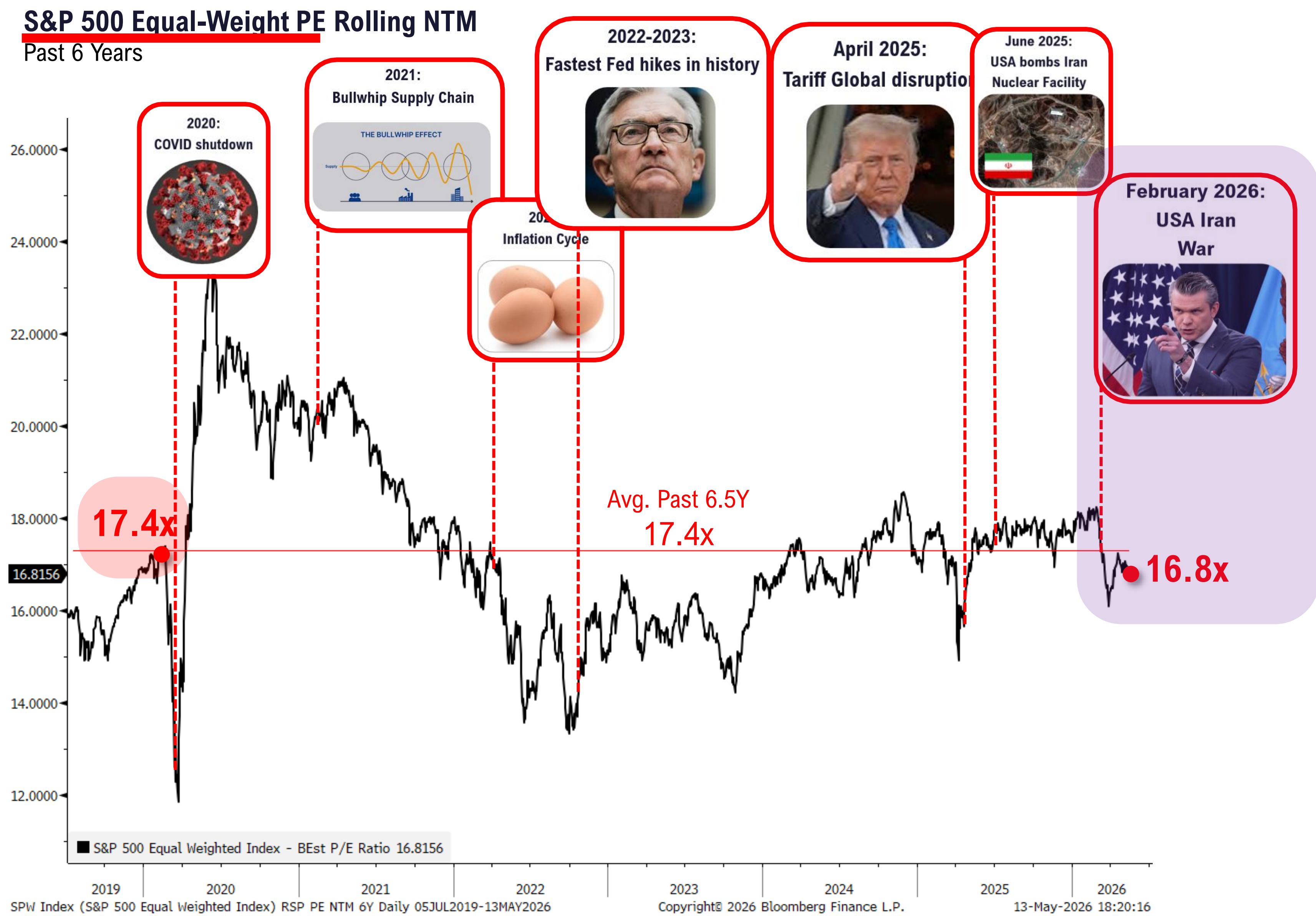


Source: Fundstrat, Bloomberg



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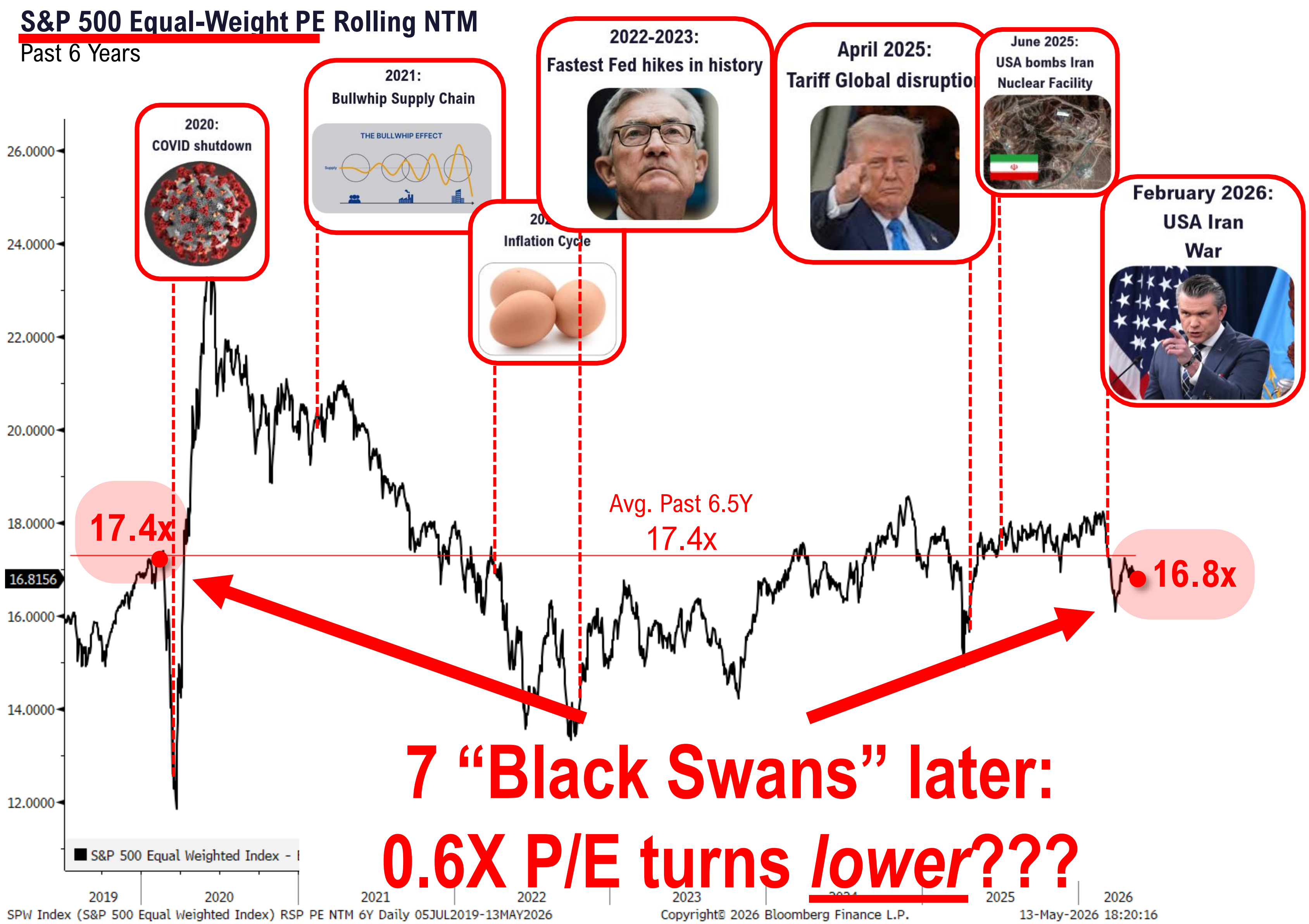


Source: Fundstrat, Bloomberg



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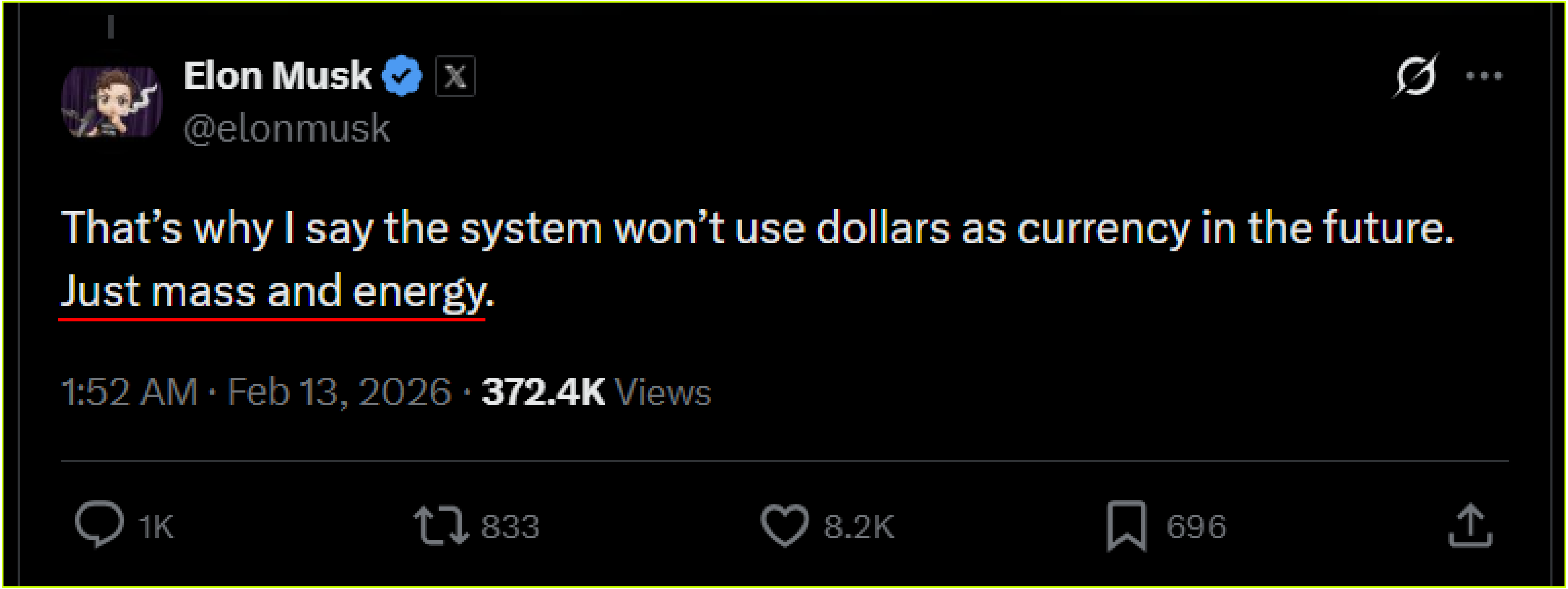
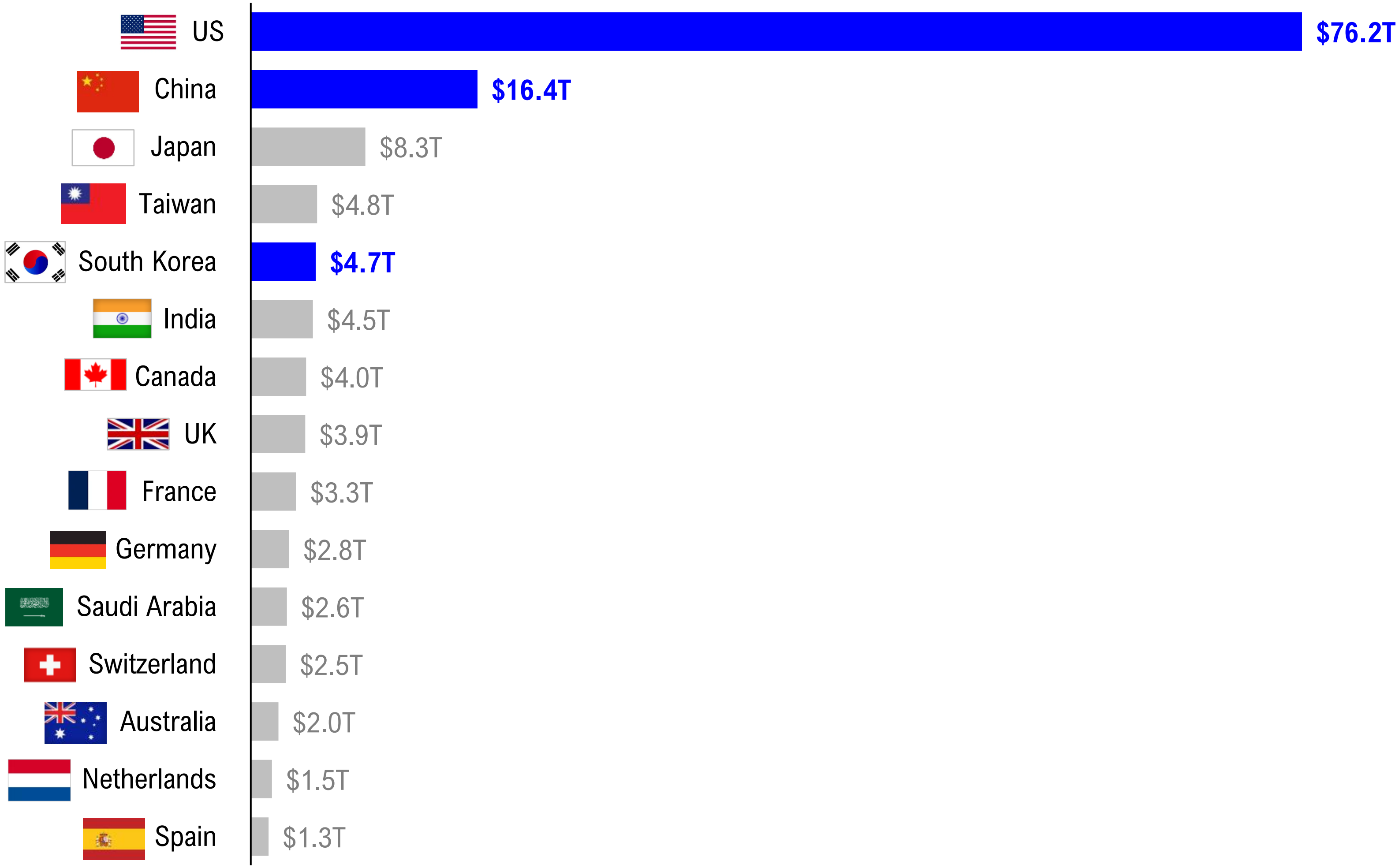


# Global Stocks: US much larger than other stock markets

**15 Largest Stock Markets**
Market Caps ($T)




Source: Fundstrat, Bloomberg

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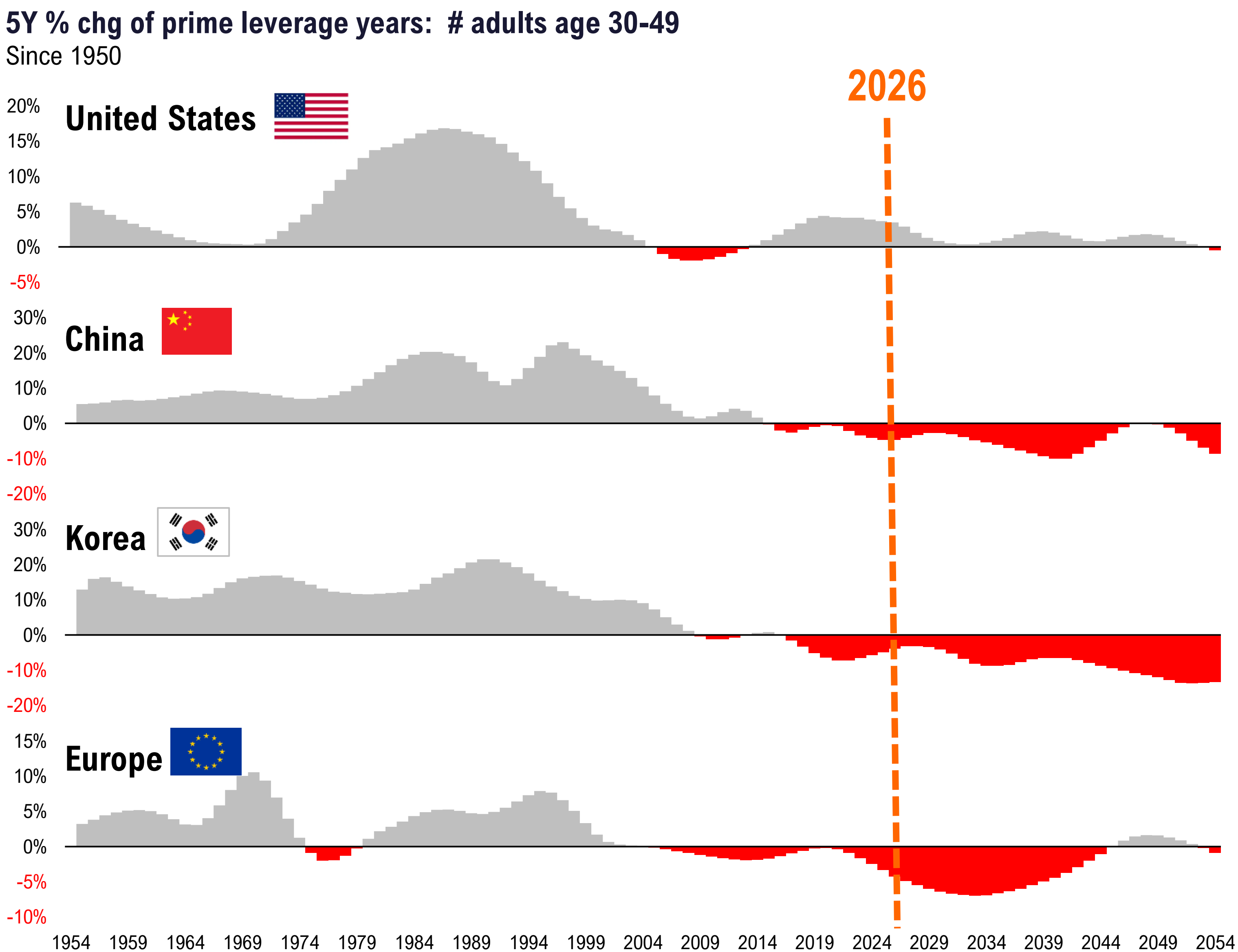
# USA: Strong comparative advantage

| | Prime Age Population Growth |
|---|---|
| USA | Positive until 2035 |
| China | Negative |
| South Korea | Negative |
| Europe | Negative |
| Latin America | Positive |

## PRIME INCOME AGE: US only major economy with growing prime age pop.




Source: Fundstrat, UN DESA

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# USA: Strong comparative advantage

| | Prime Age Population Growth | AI/Compute | Energy independence |
|---|---|---|---|
| USA | Positive until 2035 | AI leader | Net exporter |
| China | Negative | AI leader | Importer |
| South Korea | Negative | Hardware partner AI | Importer |
| Europe | Negative | | Importer |
| Latin America | Positive | | Net exporter |

Only USA

# Global Stocks: Consistent US outperformance over past 10Y

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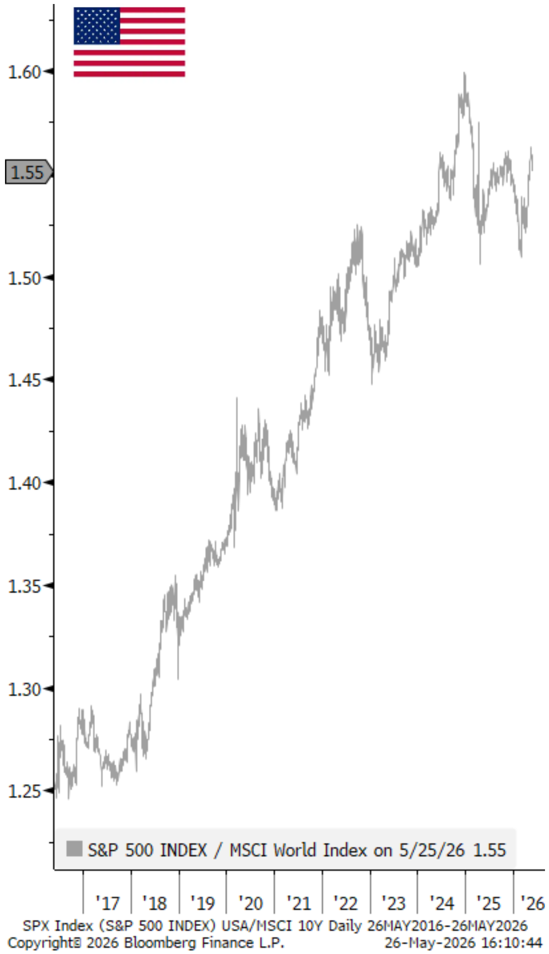
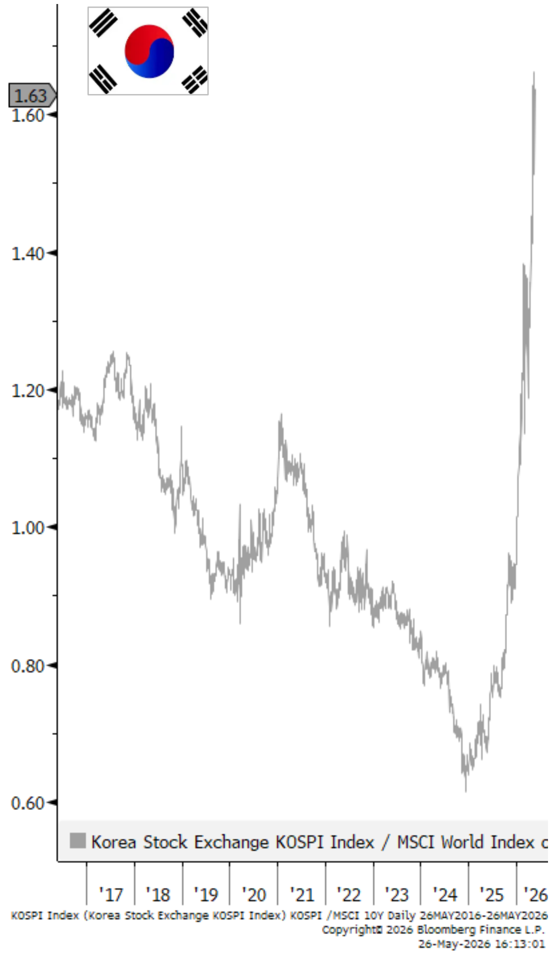
**Major US, China, & Korea Stock Indices Relative to MSCI World Index**
Past 10 Years

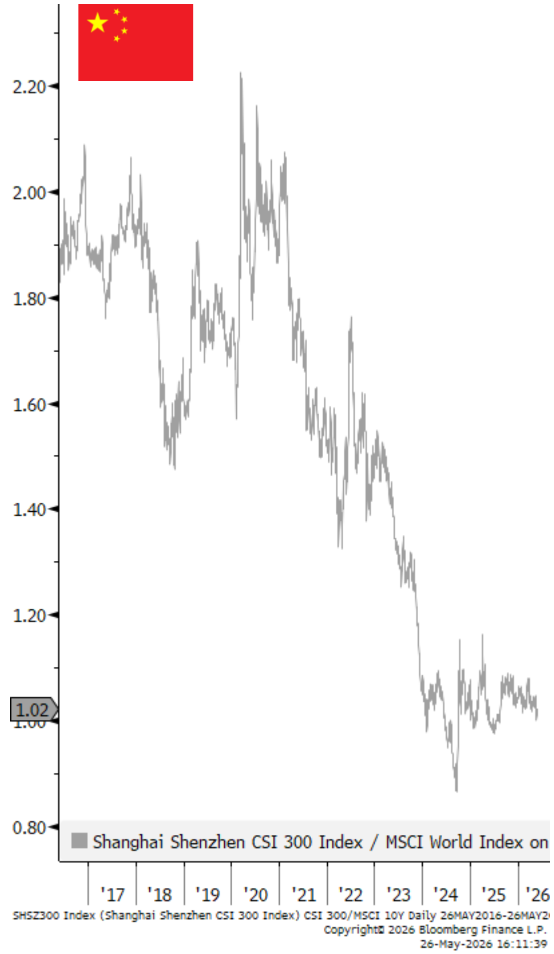
## S&P 500 / MSCI World




## KOSPI / MSCI World




## CSI 300 / MSCI World




Source: Fundstrat, Bloomberg

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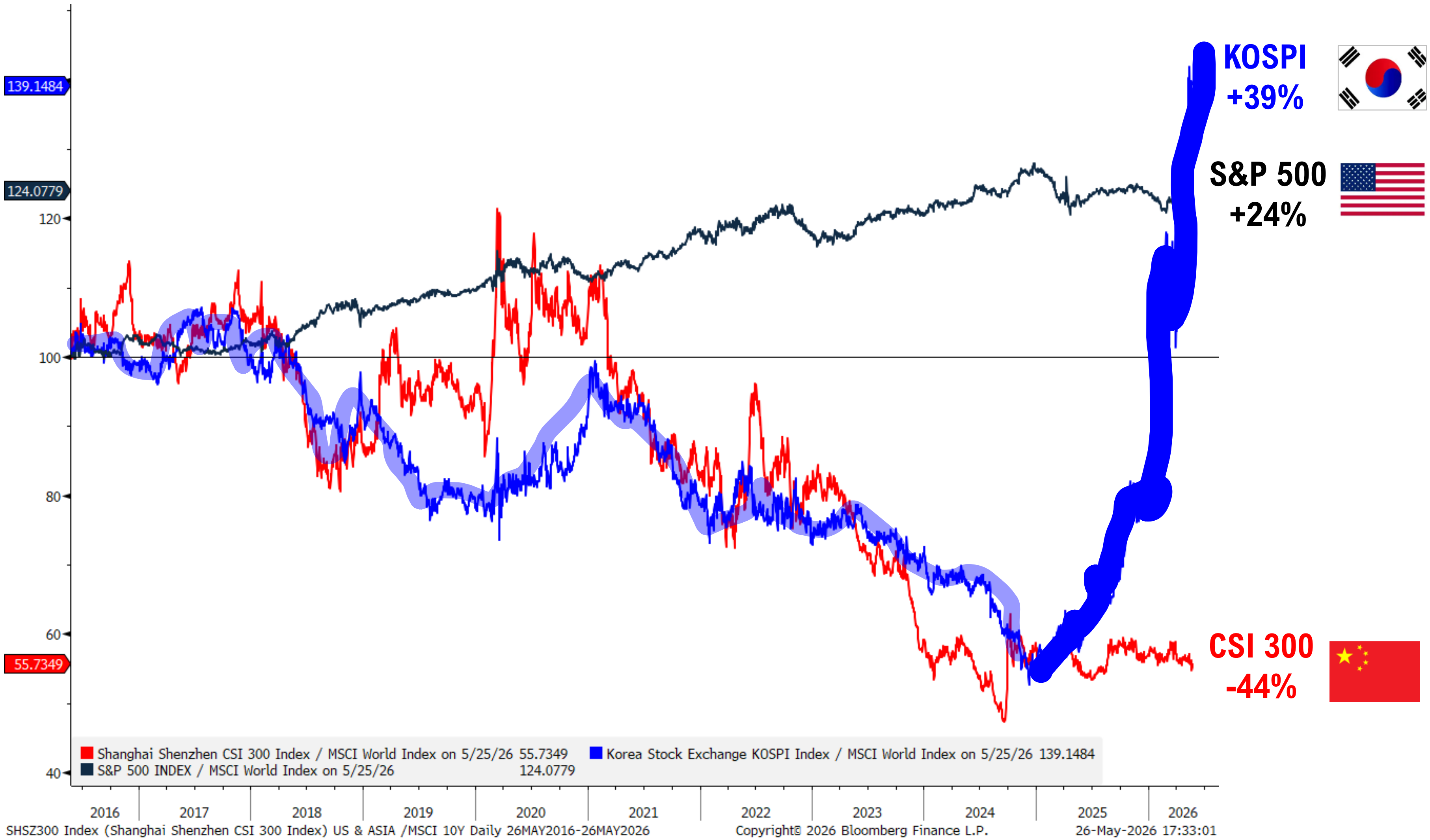
**Major US, China, & Korea Stock Indices Relative to MSCI World Index**

Past 10 Years, Normalized 5/26/2016 = 100




Source: Fundstrat, Bloomberg

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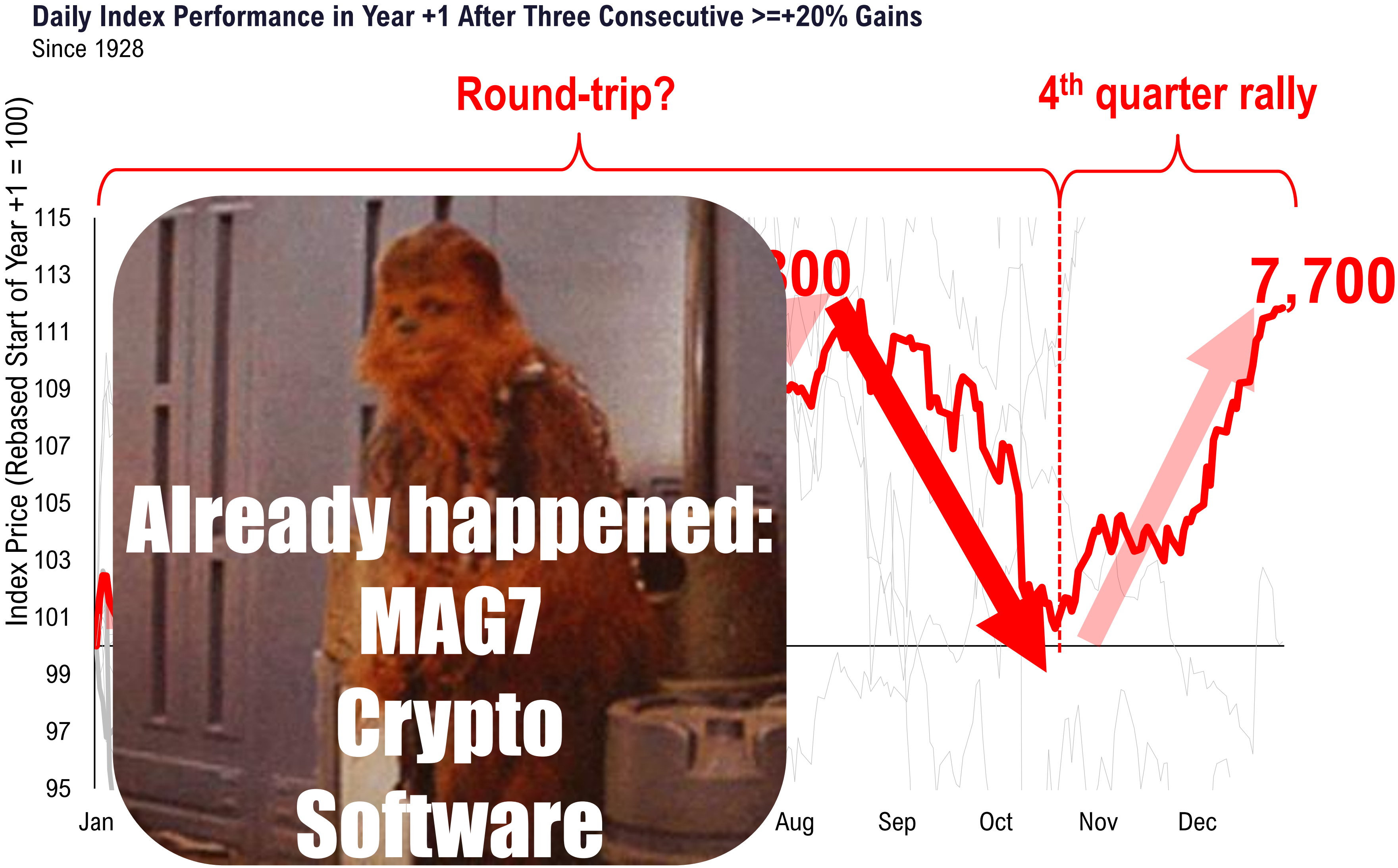


Source: Fundstrat, Bloomberg

# ROLLING BEAR MARKET: Large share of S&P 500

6% ▪ Energy/ Materials: Since March 2025
→ signs of bottoming since Iran war started

12% ▪ Financials: Since April 2025
→ worse since Iran war started

35% ▪ MAG7: Since November 2025
→ signs of bottoming since Iran war started

15% ▪ Technology: Since November 2025
→ signs of bottoming since Iran war started

68% ← **Much of S&P 500 was in a "bear" in past year**

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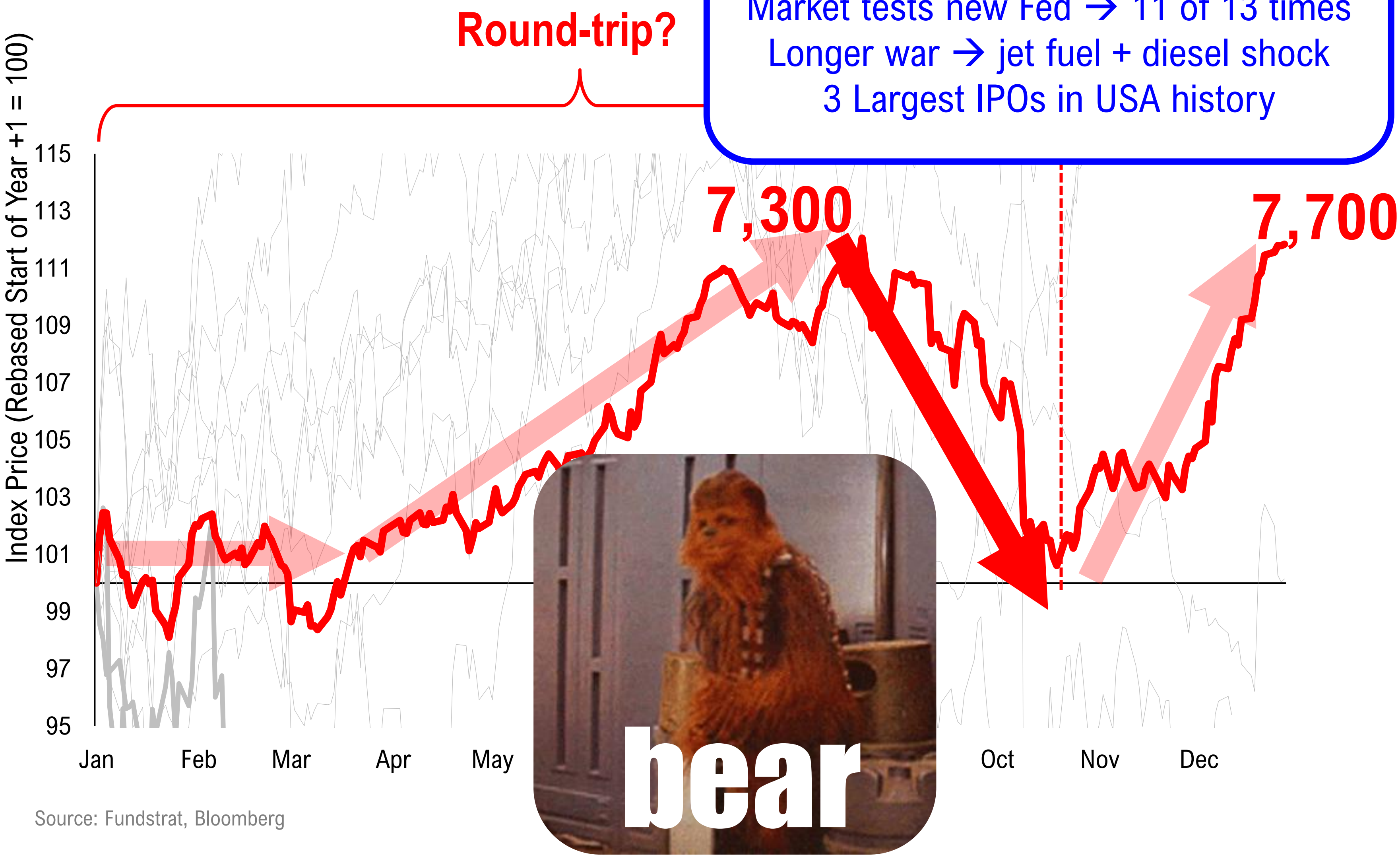
# HISTORICAL COMPOSITE: Gains possibly “back-ended” towards YE

**Possible factors:**

Market tests new Fed → 11 of 13 times
Longer war → jet fuel + diesel shock
3 Largest IPOs in USA history

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Since 1928


Source: Fundstrat, Bloomberg

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# SPACEX: Early release could create headwinds for equities

## SpaceX IPO Lock-up Provisions

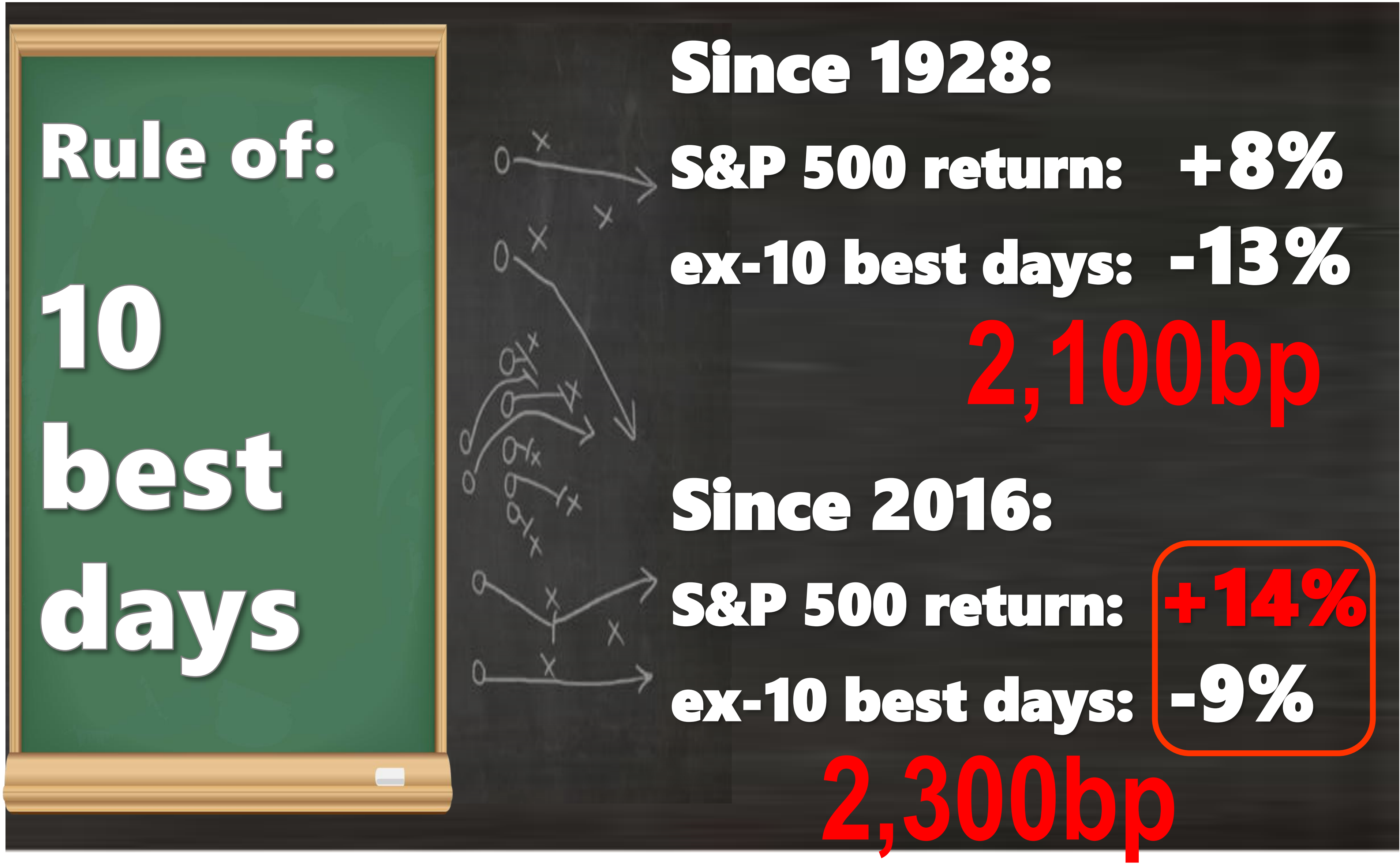
**Non-Early Release Shares:** Elon Musk (and some other investors) are subject to a 366-day lock-up period. Musk currently holds ~12% of SpaceX Class A shares.

**Early Release Shares:** The remaining shares are eligible for early release.

- 20% of these shares are released on the second trading day after SpaceX 2Q26 earnings are reported. An additional 10% may be released if SpaceX stock is at least 30% greater than the IPO price on at least 5 of 10 trading days before the earnings are reported.
- 7% of these shares are subject to each of 70, 90, 105, 120, and 135-day lock-ups.
- 28% of these shares are released on the second trading day after 3Q26 earnings are reported.
- All remaining early release shares are subject to a 180-day lock-up.

Source: Fundstrat, SpaceX

# RULE 10 BEST DAYS: Impact of not owning the “10 best days”




Source: Fundstrat

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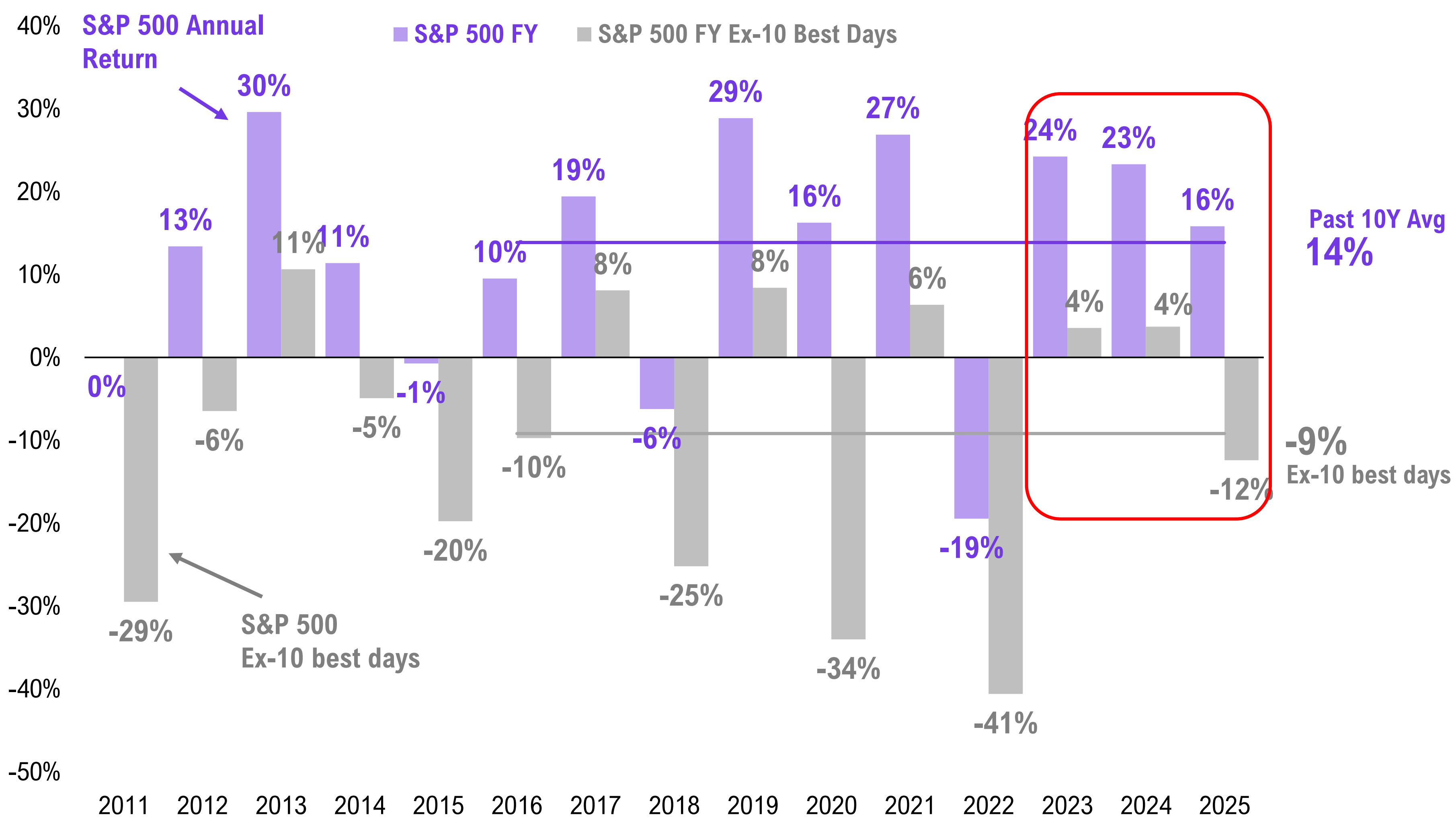
## S&P 500 Annual Return vs. Annual Return Ex-10 Best Days

Past 15 Years

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## NEW FED: 5 challenges facing Warsh

1. **Oil vs AI:** which matters more to structural inflation?

2. **Future Fed guidance:** Warsh prefers to eliminate guidance

3. **Fed vs Hawkish markets:** Warsh sees less structural inflation vs markets.

4. **Fed vs "Dovish" White House:** Managing a key relationship as White House prefers more cuts

5. **Stock market is the economy:** Wealth effect

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# Oil

- Pushes up inflation
- **Fed hikes rates**

## RATES → Majority see policy firming if inflation persists >2%

"Several participants highlighted that it would likely be appropriate to lower the target range for the federal funds rate once there are clear indications that disinflation is firmly back on track or if solid signs emerge of greater weakness in the labor market. A majority of participants highlighted, however, that some policy firming would likely become appropriate if inflation were to continue to run persistently above 2 percent. To address this possibility, many participants indicated that they would have preferred removing the language from the postmeeting statement that suggested an easing bias regarding the likely direction of the Committee's future interest rate decisions."

# Oil

- Pushes up inflation
- **Fed hikes rates**

# AI

- Raises input costs
- Lowers employment
- Lowers wages
- **Fed cuts rates**

# AI → Impacting policy dynamics via input costs & labor

"Several participants observed that price pressures associated with strong AI investment expenditures would likely raise input costs for a range of industries." "Several participants cited evidence reported by business contacts suggesting that firms were likely to delay or reduce hiring because of overall economic uncertainty or in anticipation of adopting AI technologies. Several participants pointed to the possibility that a fall in labor demand could push the unemployment rate sharply higher."

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# FORWARD GUIDANCE → Less is better

**Mr. Warsh:** We need a new framework, new tools, and new communications.

**Sen. Tim Scott:** On communications?

**Mr. Warsh:** Part of the reason the 2021–22 mistake was compounded is the Fed gives forward guidance — it tells the world what its dots will be, what its forecasts will be. Then the Fed, being human, holds onto those forecasts longer than it should. If the Fed were to wait until it gets into a meeting before making a decision, that incremental deliberation can keep the central bank from compounding its errors. These are big changes, and if confirmed I look forward to doing it.

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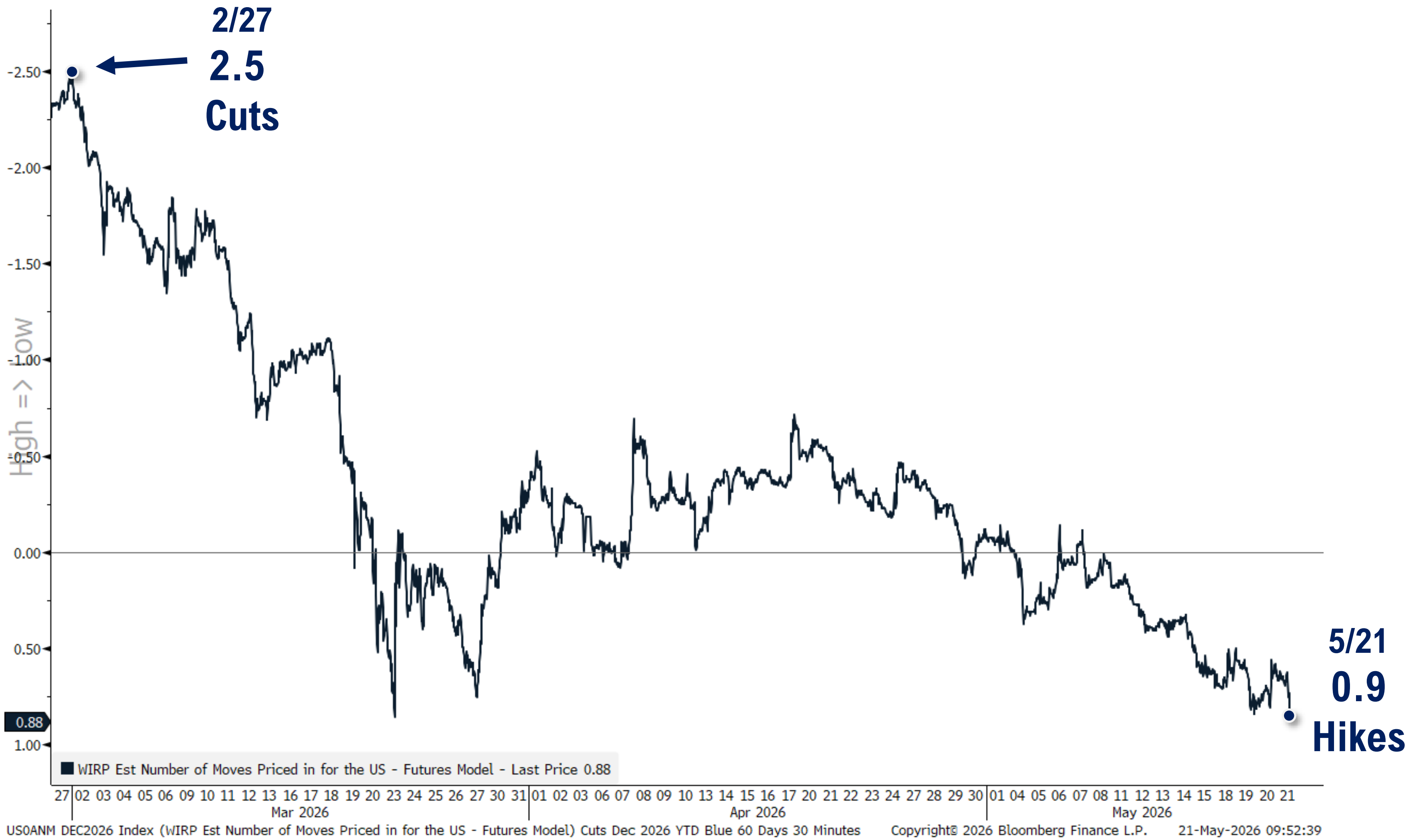
# FED: 2.5 cuts to 0.9 hike chance in 2026 following Iran War

**# Fed Cuts Estimated in *2026***
Since End of Feb. Implied by Fed Funds Futures.




Source: Fundstrat, Bloomberg

*1 cut represents 25-basis-point decrease in Fed Funds Rate

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**Donald J. Trump**
@realDonaldTrump

"Too Late" Powell complains about costs, much of which were produced by the Biden Fake "Government," but he could do the biggest and best job for our Country by helping to lower Interest Rates and, if he reduced them to the number they should be, 1% to 2%, that "numbskull" would be saving the United States of America up to $1 Trillion Dollars per year. I fully understand that my strong criticism of him makes it more difficult for him to do what he should be doing, lowering Rates, but I've tried it all different ways. I've been nice, I've been neutral, and I've been nasty, and nice and neutral didn't work! He's a dumb guy, and an obvious Trump Hater, who should have never been there, I listened to someone that I shouldn't have listened to, and Biden shouldn't have reappointed him.

**Donald J. Trump**
@realDonaldTrump

"Too Late" Powell complains about costs, much of which were produced by the Biden Fake "Government," but he could do the biggest and best job for our Country by helping to lower Interest Rates and, if he reduced them to the number they should be, 1% to 2%, that "numbskull" would be saving the United States of America up to $1 Trillion Dollars per year. I fully understand that my strong criticism of him makes it more difficult for him to do what he should be doing, lowering Rates, but I've tried it all different ways. I've been nice, I've been neutral, and I've been nasty, and nice and neutral didn't work! He's a dumb guy, and an obvious Trump Hater, who should have never been there, I listened to someone that I shouldn't have listened to, and Biden shouldn't have reappointed him.

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# NEW FED: 5 challenges facing Warsh

1. **Oil vs AI:** which matters more to structural inflation?
2. **Future Fed guidance:** Warsh prefers to eliminate guidance
3. **Fed vs Hawkish markets:** Warsh sees less structural inflation vs markets.
4. **Fed vs "Dovish" White House:** Managing a key relationship as White House prefers more cuts
5. **Stock market is the economy:** Wealth effect

ELSEVIER

The Journal of Socio-Economics

Volume 31, Issue 1, 2002, Pages 75-100

# A new paradigm: the wealth effect of the stock market on consumption, in a context of interacting bio-systems

Samuel B Bulmash

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https://doi.org/10.1016/S1053-5357(02)00119-1

**Does Stock Market Wealth Matter for Consumption?**

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May 2001

**Abstract**

This paper explores the household behavior that underlies the link between wealth and consumption at the aggregate level. One possibility is that changes in wealth directly *cause* changes in consumption through their effect on households' contemporaneous budget sets; another possibility is that they merely *predict* changes in consumption because they signal changes in future income. Previous attempts to assess the relative importance of these "direct" and "indirect" channels have yielded indeterminate results. Based on analysis of household-level data from the *Consumer Expenditure Survey*, we find that direct wealth effects begin to show up relatively quickly and continue to boost consumption growth for a number of quarters, in line with aggregate estimates. In contrast, we find that the indirect wealth channel is not an important determinant of consumption growth. We also estimate that an additional dollar of wealth leads households with moderate securities holdings to increase consumption between 5 cents and 15 cents, with the most likely gain in the lower part of this range.

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U.S.News & WORLD REPORT MONEY » Credit Cards Mortgage By John Divine | Edited by Aaron Davis

# The Best and Worst Federal Reserve Chairs

## KPIs for Every Federal Reserve Chair, 1914-Present

| Name | DJIA Average Annualized Return | DJIA Avg. Ann'l Real Return |
|---|---|---|
| Daniel R. Crissinger (1923-1927) | 17.7% | 17.2% |
| Paul Volcker (1979-1987) | 15.4% | 9.3% |
| Janet Yellen (2014-2018) | 13.5% | 11.9% |
| Charles Sumner Hamlin (1914-1916) | 12.3% | 8.5% |
| Thomas B. McCabe (1948-1951) | 11.2% | 8.3% |
| Eugene Robert Black (1933-1934) | 9% | 4% |
| G. William Miller (1978-1979) | 9% | -1.8% |
| Jerome Powell (2018-Present) | 9.1% | 5.5% |

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| Alan Greenspan (1987-2006) | 7.9% | 4.7% |
| Roy A. Young (1927-1930) | 6.7% | 8.6% |
| William M. Martin (1951-1970) | 6% | 3.9% |
| Ben Bernanke (2006-2014) | 4.6% | 2.5% |
| Marriner S. Eccles (1934-1948) | 4.3% | 0% |
| William P.G. Harding (1916-1922) | 1.2% | -5.6% |
| Arthur F. Burns (1970-1978) | 0.4% | -5.6% |
| Eugene Meyer (1930-1933) | -33.4% | -26.1% |



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# 2026: Resilience and US exceptionalism

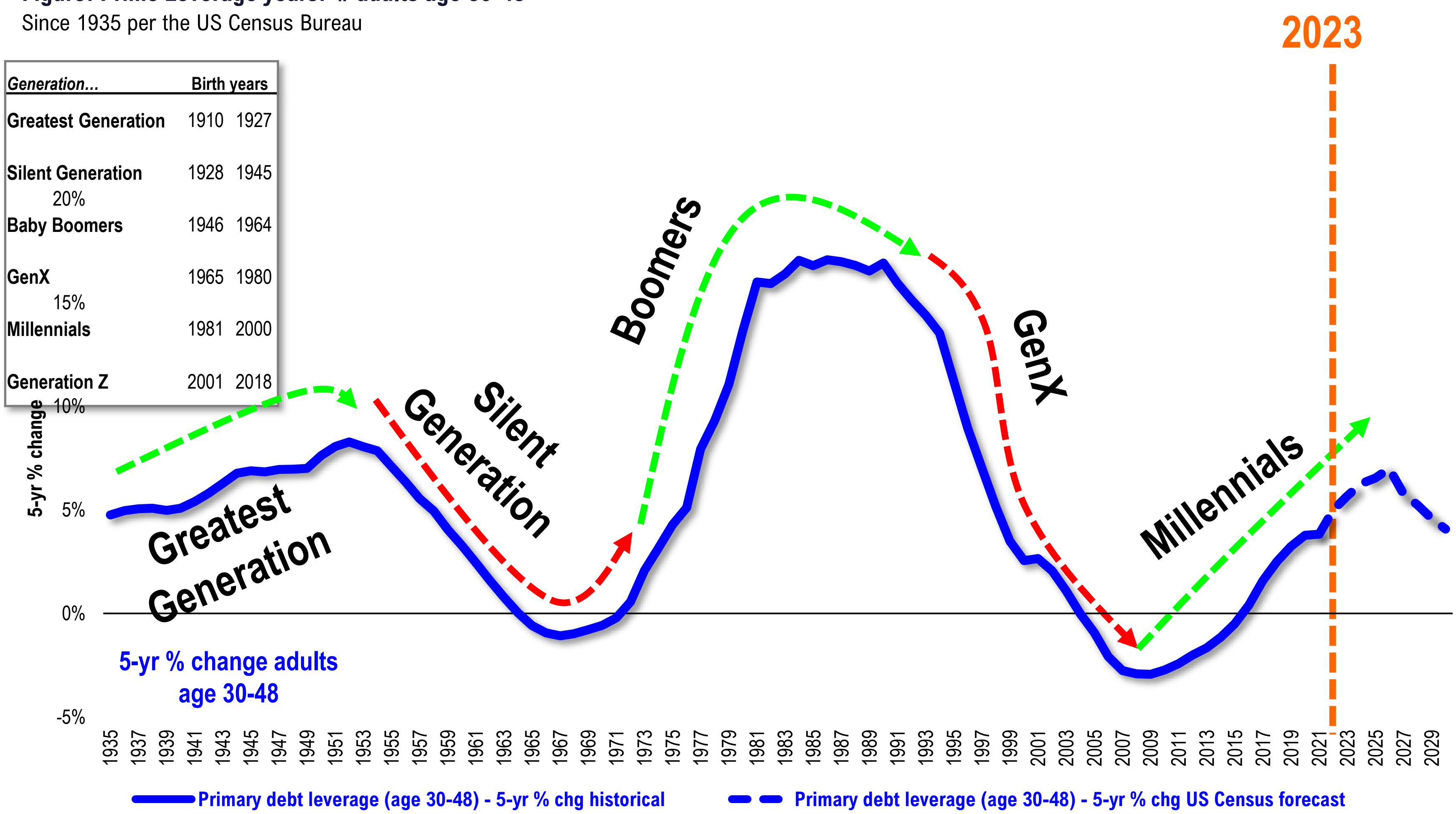
1. **3 Phase Market**
2. **7 Black Swans:** Argues for higher P/E
3. **US relative position:** Compute and Energy
4. **Challenges later in 2026:** Driver for Phase 2?
5. **New Fed:** Market always challenges new Fed
6. **Demographic tailwind:** S&P 500 15,000 by 2030

# LABOR SUPPLY: Prime skilled US adults age 30-48 inflecting up and surging

The number of adults in "prime leverage age" (age 30-48) is below, based on data from the US Census Bureau.

- **This figure fell from 2001-2008 (is GFC not a surprise?) and as shown below, set to accelerate 2018 to 2026.**

**Figure: Prime Leverage years: # adults age 30-48**
Since 1935 per the US Census Bureau




Source: Fundstrat, Bloomberg, BEA, National Association of Realtors, US Census Bureau

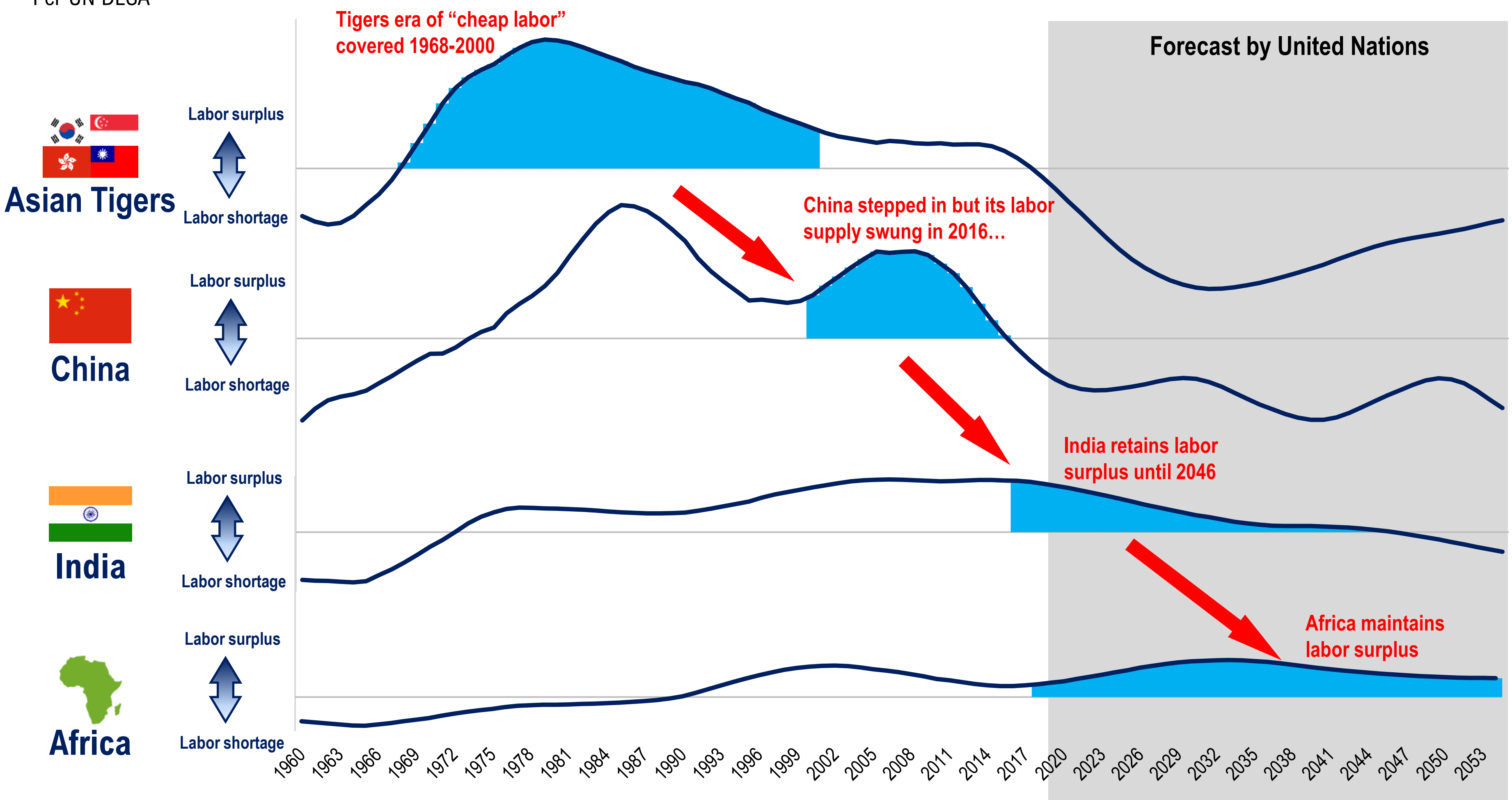
# LABOR: From Tigers to China to India (until 2046) and Africa

China and the Four Asian Tigers (Hong Kong, Korea, Singapore and Taiwan) entered labor shortage recently.

- **In the chronology below is the progress of labor supply. The Tigers were the first, followed by China joining in the 2000s, and now we're seeing a shift in India. India's labor surplus will start to diminish in 2019, but won't enter labor shortage until 2046. Africa will maintain its labor surplus through the forecasted period.**

**Figure: Spread between total population growth and workforce growth (age 16-64)**

Per UN DESA




Source: Fundstrat

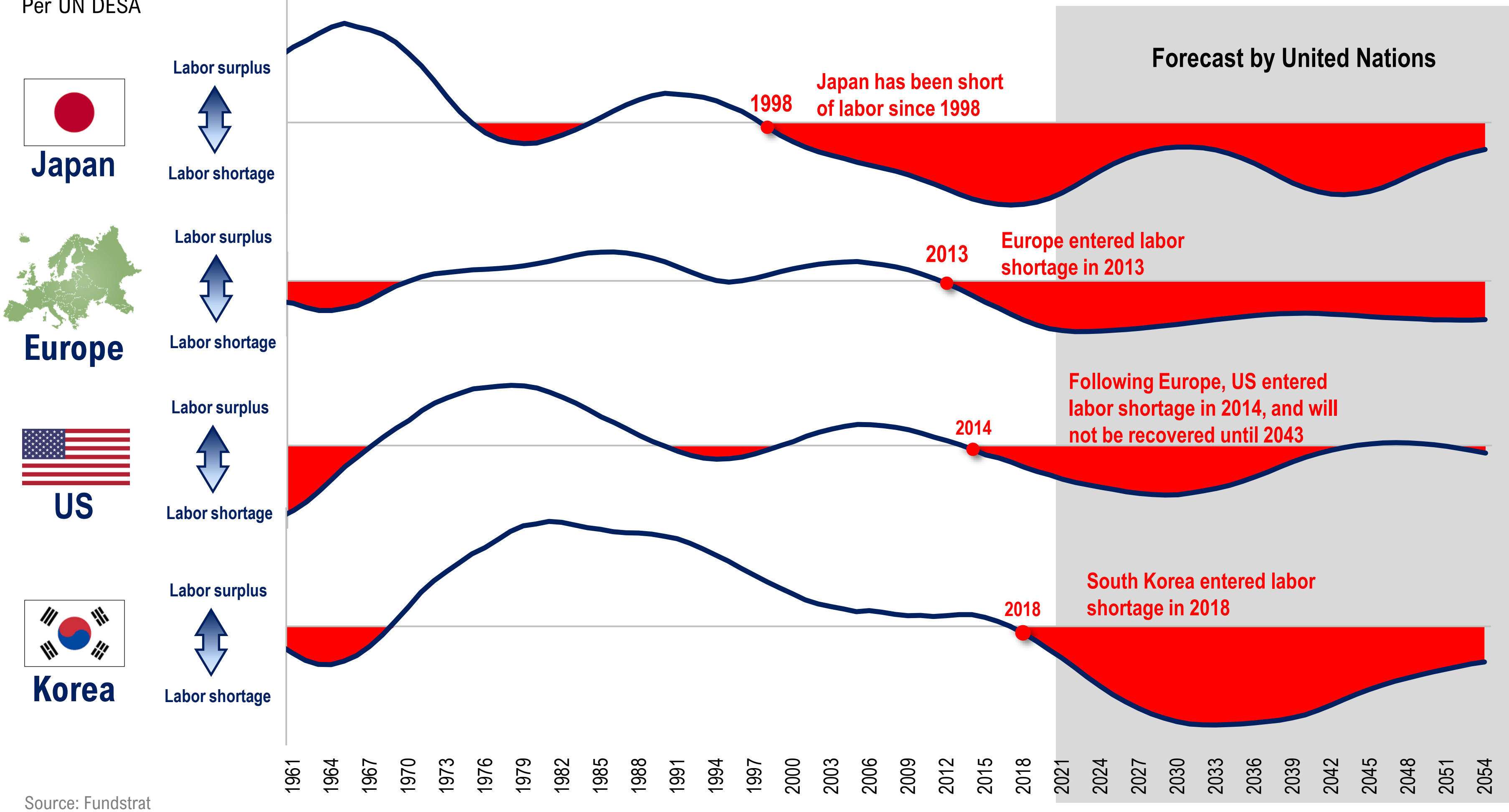
# LABOR SHORTAGE: From Japan to Europe and US to Korea

With ~1/3* of its population aged 65 or above, Japan has been in labor shortage since late '90s. Europe and US, the major developed regions, have been short of labor since 2013 and 2014, respectively. Korea, one of the Asian Tigers that used to provide abundant labor force, also entered labor shortage in 2018.

- **In the chronology below is the progress of labor supply. With both aging population and low birth rates, the labor condition in Japan, Europe and Korea will persist through the forecasted period. US is relatively better, but still will maintain labor shortage until 2043.**

**Figure: Spread between total population growth and workforce growth (age 16-64)**

Per UN DESA




Source: Fundstrat

* Japan Statistical Yearbook

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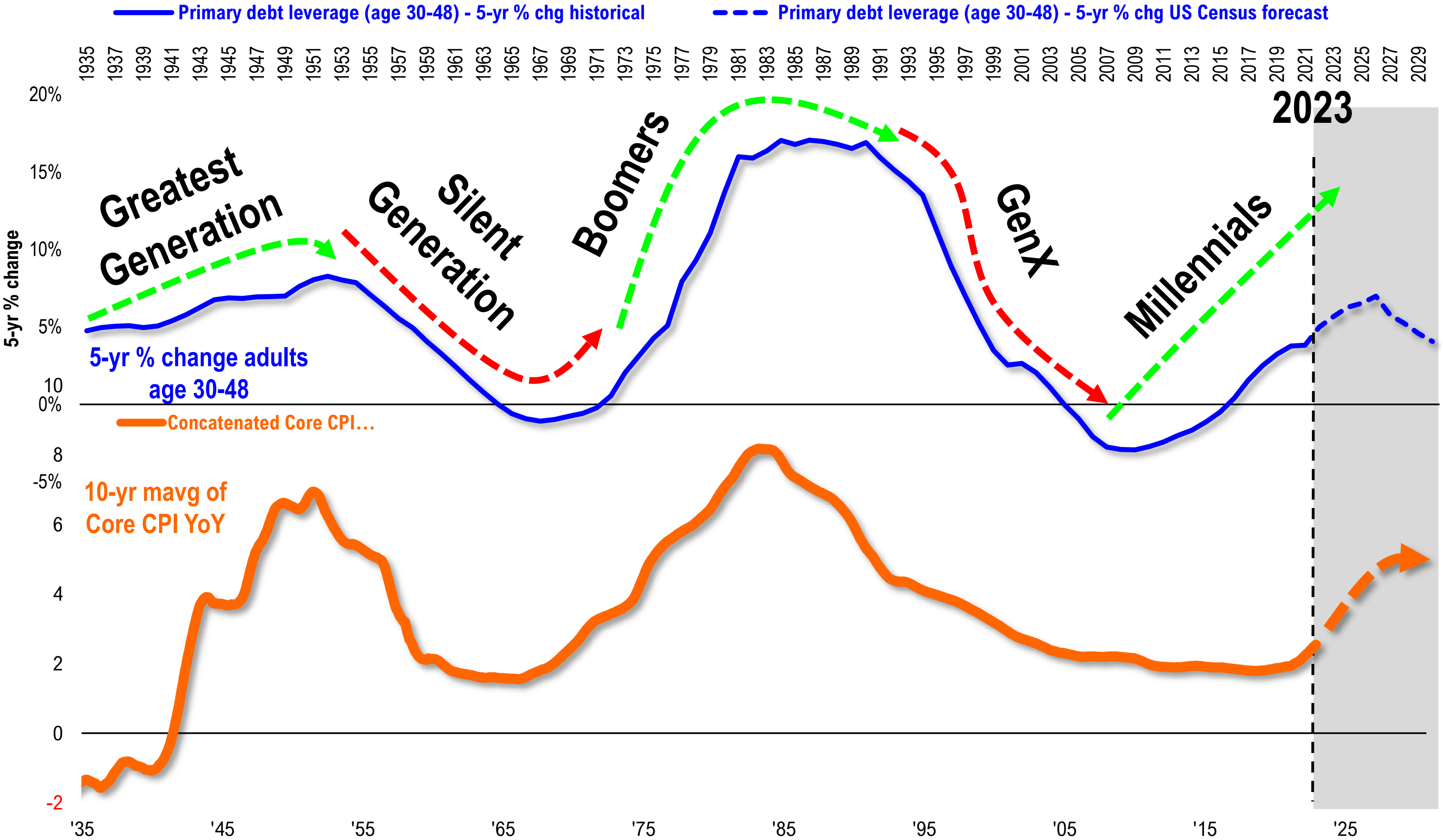
# INFLATION: pricing levels follow the population in prime leverage age…

We overlay the # of adults in “prime leverage age” (age 30-48) against the 10-year moving average of US Core CPI growth.

- **As millennials enter their prime income/leverage age, the increasing demand could cause inflation to climb up.**

**Figure: Prime Leverage years: # adults age 30-48**

Since 1935 per the US Census Bureau

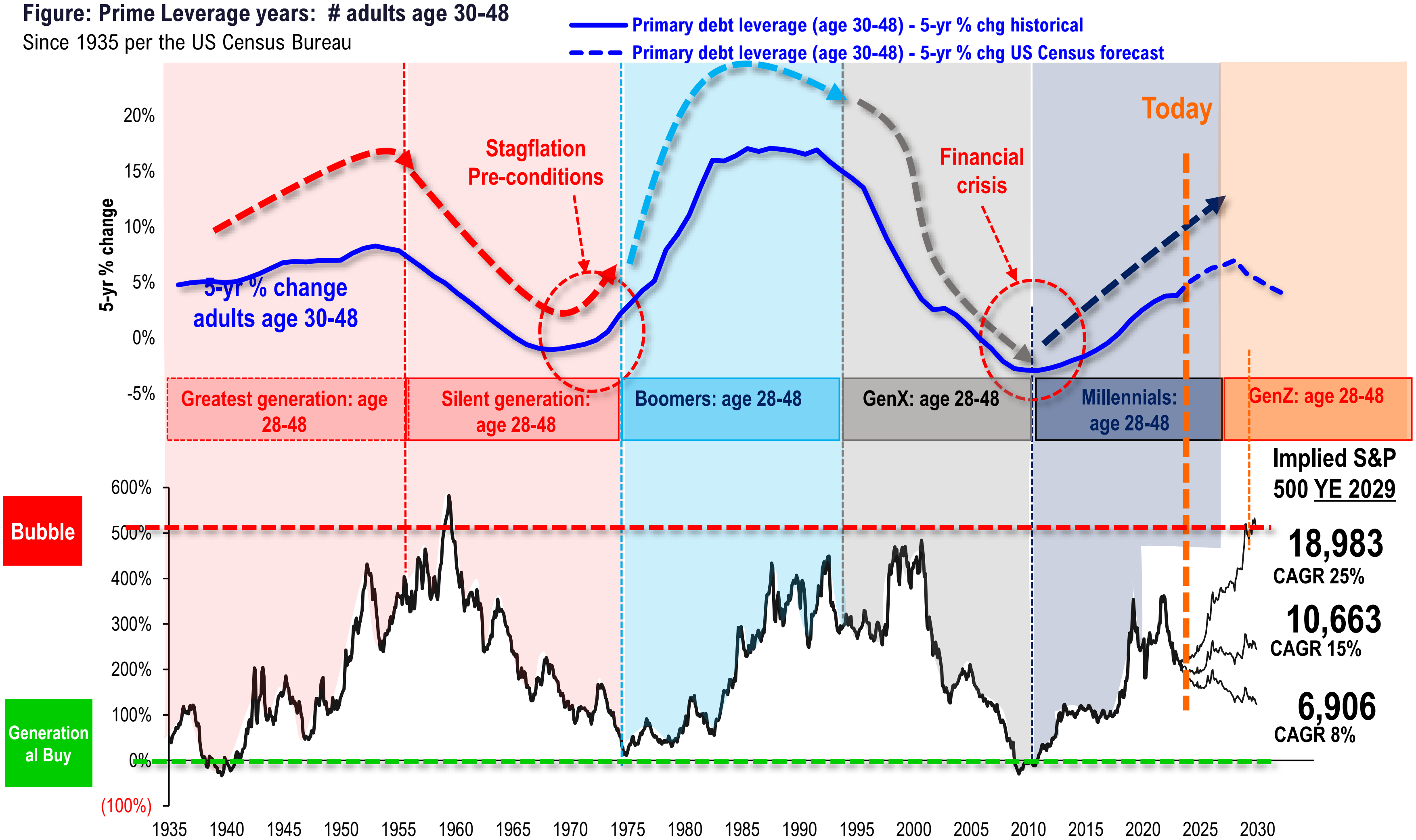



Source: Fundstrat, Bloomberg, BEA, National Association of Realtors, US Census Bureau

# STOCK: Like housing, equity markets also follow moves in adults age 28-48

We overlay the # of adults in "prime leverage age" (age 30-48) against the 10-year rolling total return of S&P 500 below.

**Figure: Prime Leverage years: # adults age 30-48**
Since 1935 per the US Census Bureau




Source: Fundstrat, Bloomberg, BEA, National Association of Realtors, US Census Bureau

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# WHAT TO OWN: Stocks that benefit from a stronger 2026

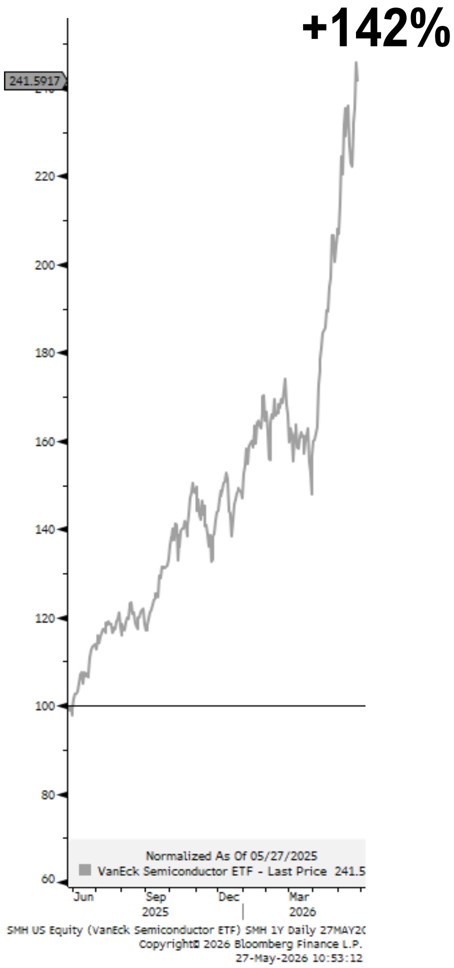
| | | | Relative to S&P 500 YTD |
|---|---|---|---|
| • **MAG7, Ethereum, Software** NEW<br>**$MAGS $IBIT $ETHA $IGV** | Magnificent 7<br>Software (IGV)<br>Ethereum | **Bottom In** | -3.4%<br>-21.3% NEW<br>-36.8% |
| • **Industrials**<br>**$XLI** | Industrials | | 1.1% |
| • **Financials:**<br>**Large-cap and regional banks**<br>**$XLF $KRE** | Financials<br>Regional Banks | | -14.4%<br>-2.0% |
| • **Small-caps:**<br>**especially as markets eye 2026**<br>**$IWM** | Small-Caps | | 5.8% |
| • **Energy/Basic Materials**<br>**$XLE $XLB** | Large-Cap Energy<br>Small-Cap Energy<br>Large-Cap Materials<br>Small-Cap Materials | | 22.2%<br>27.3%<br>0.8%<br>3.7% |

Source: Fundstrat, Bloomberg

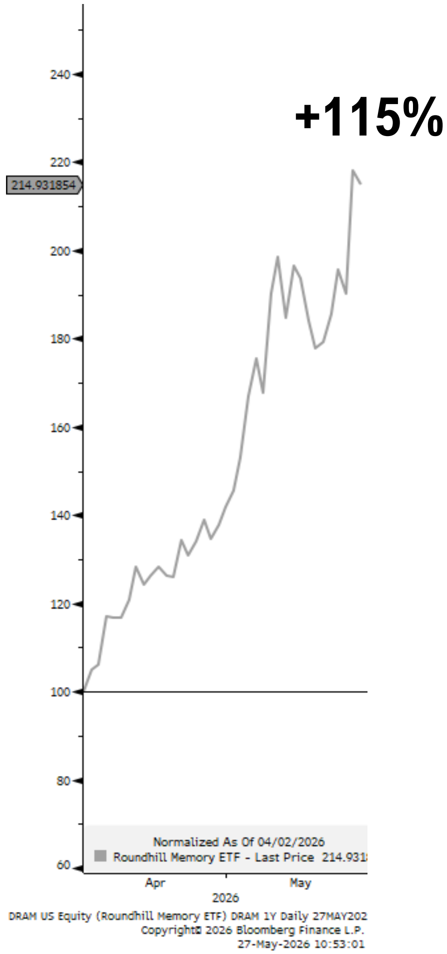
# Technology: Strongly leading since April

**Major Technology ETFs *Price History***
Past Year, DRAM since 4/2/26 (Normalized 100 = Start)

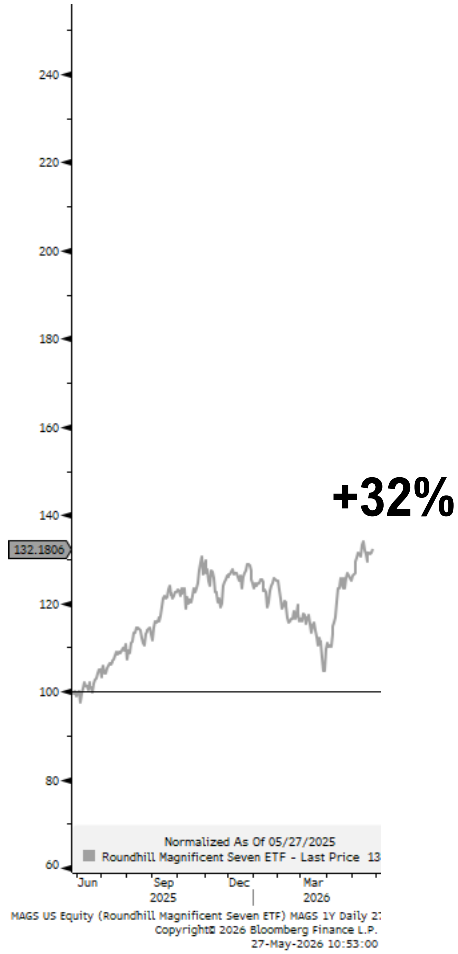
## ETF $SMH



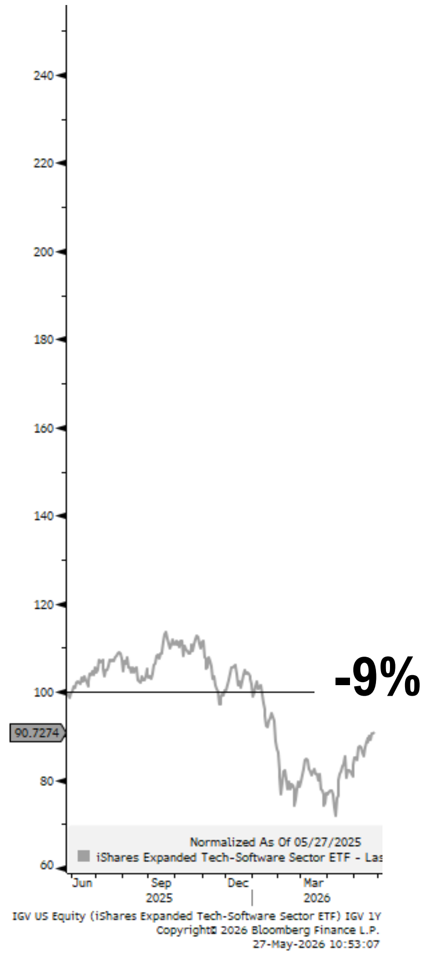

## $DRAM




## $MAGS



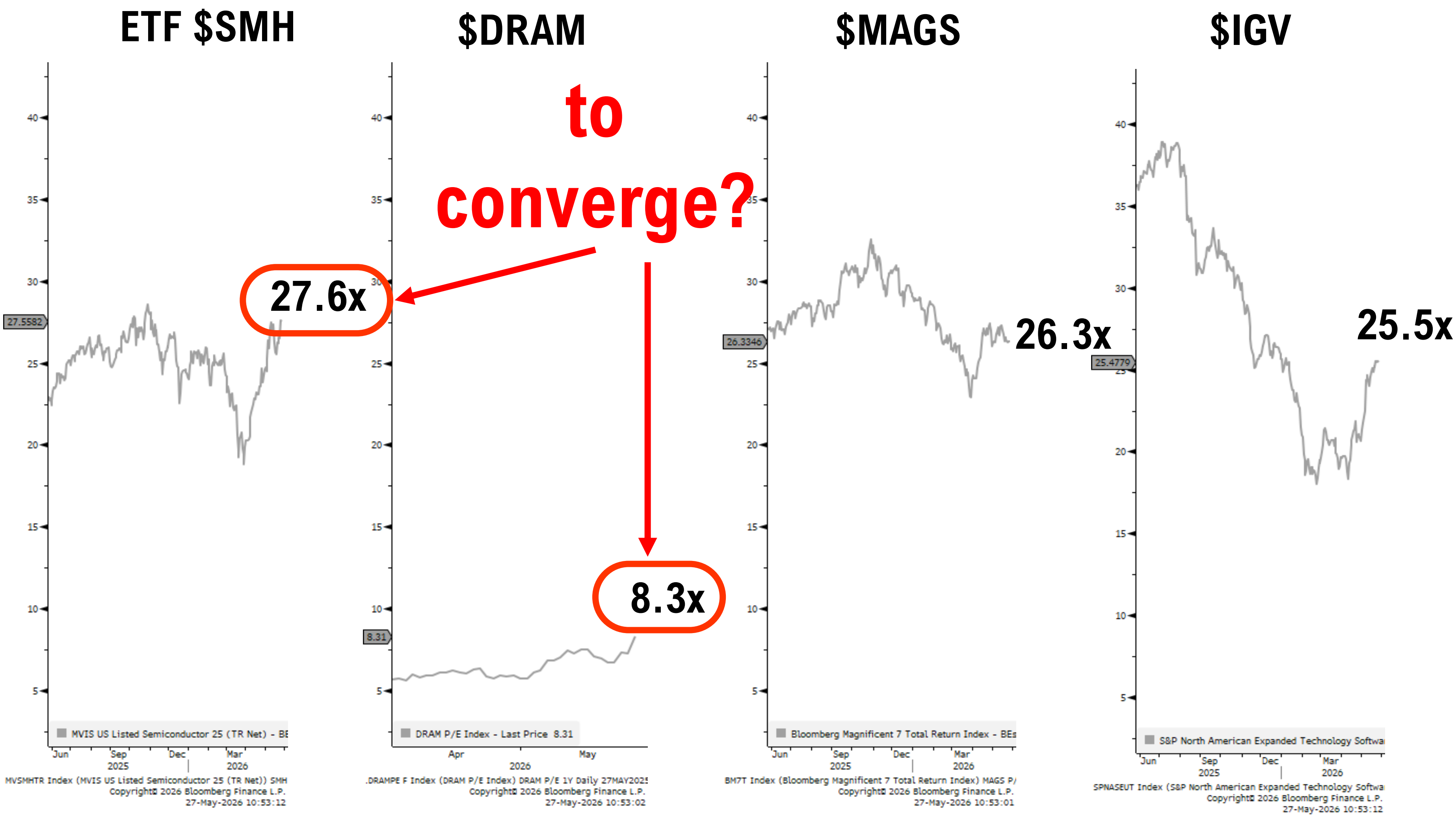

## $IGV




Source: Fundstrat, Bloomberg

# Technology: Valuations remain reasonable

**Major Technology ETFs *NTM P/E***
Past Year, DRAM since 4/2/26




Source: Fundstrat, Bloomberg, FactSet

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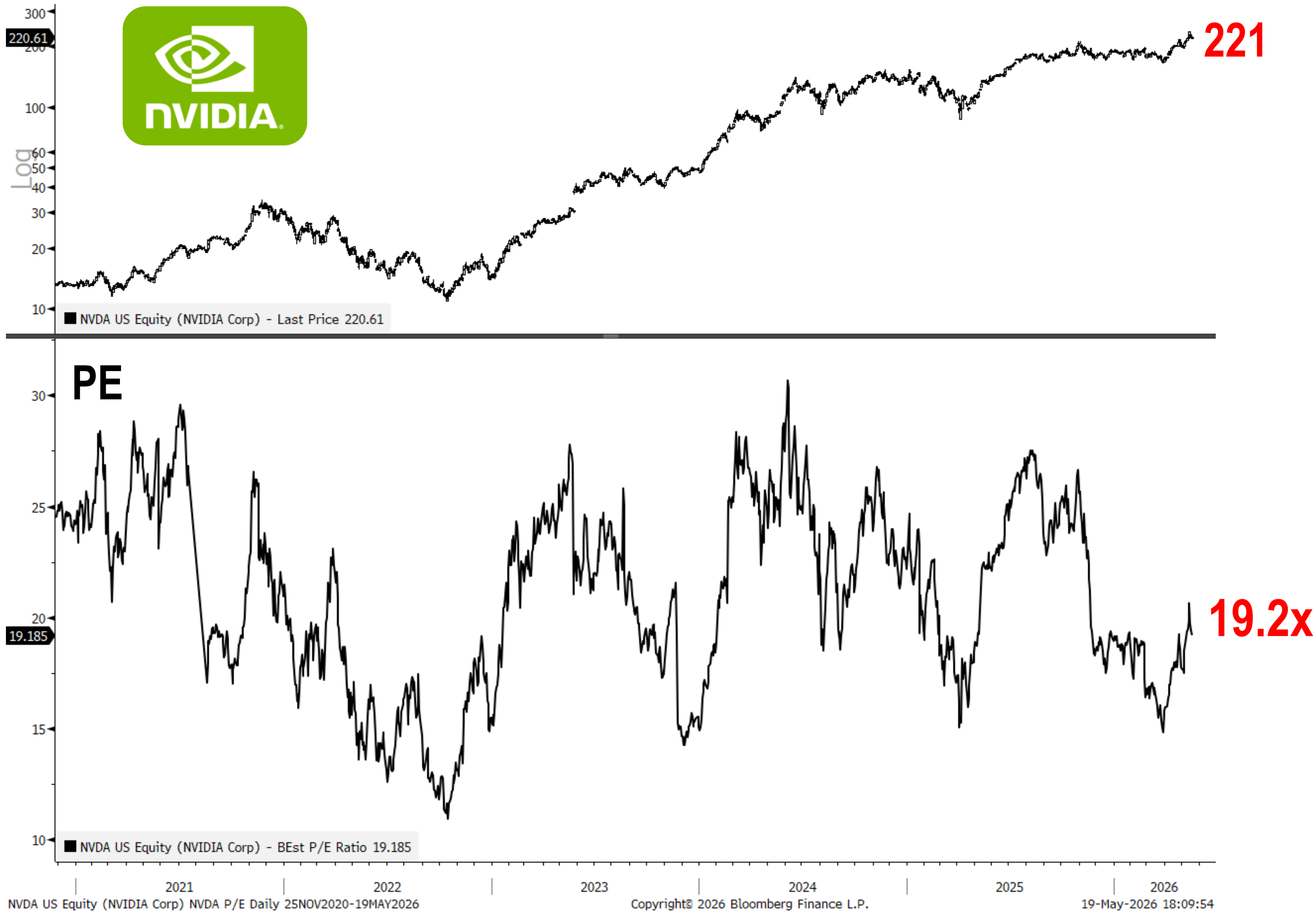
# NVDA: Still a reasonable P/E



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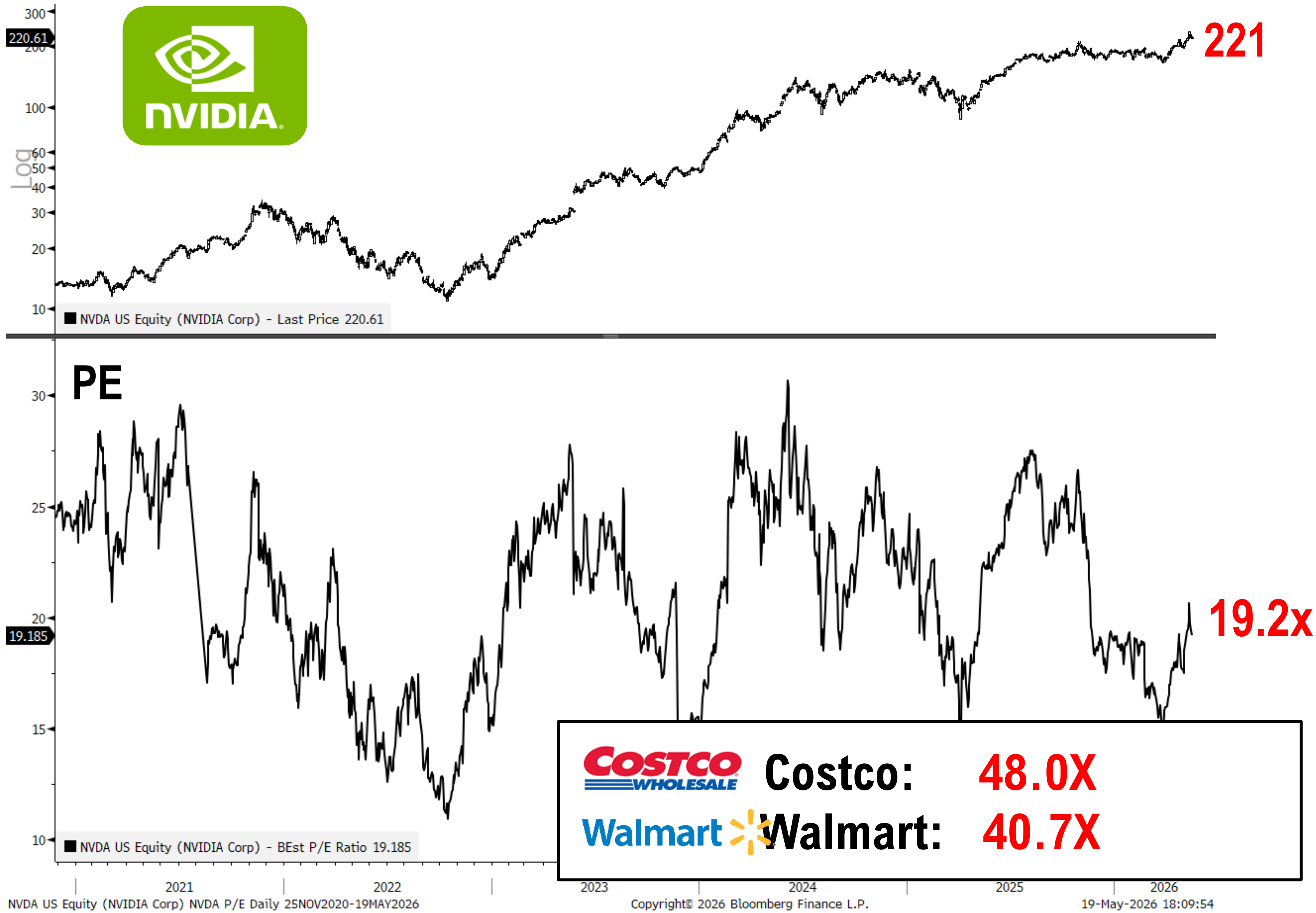
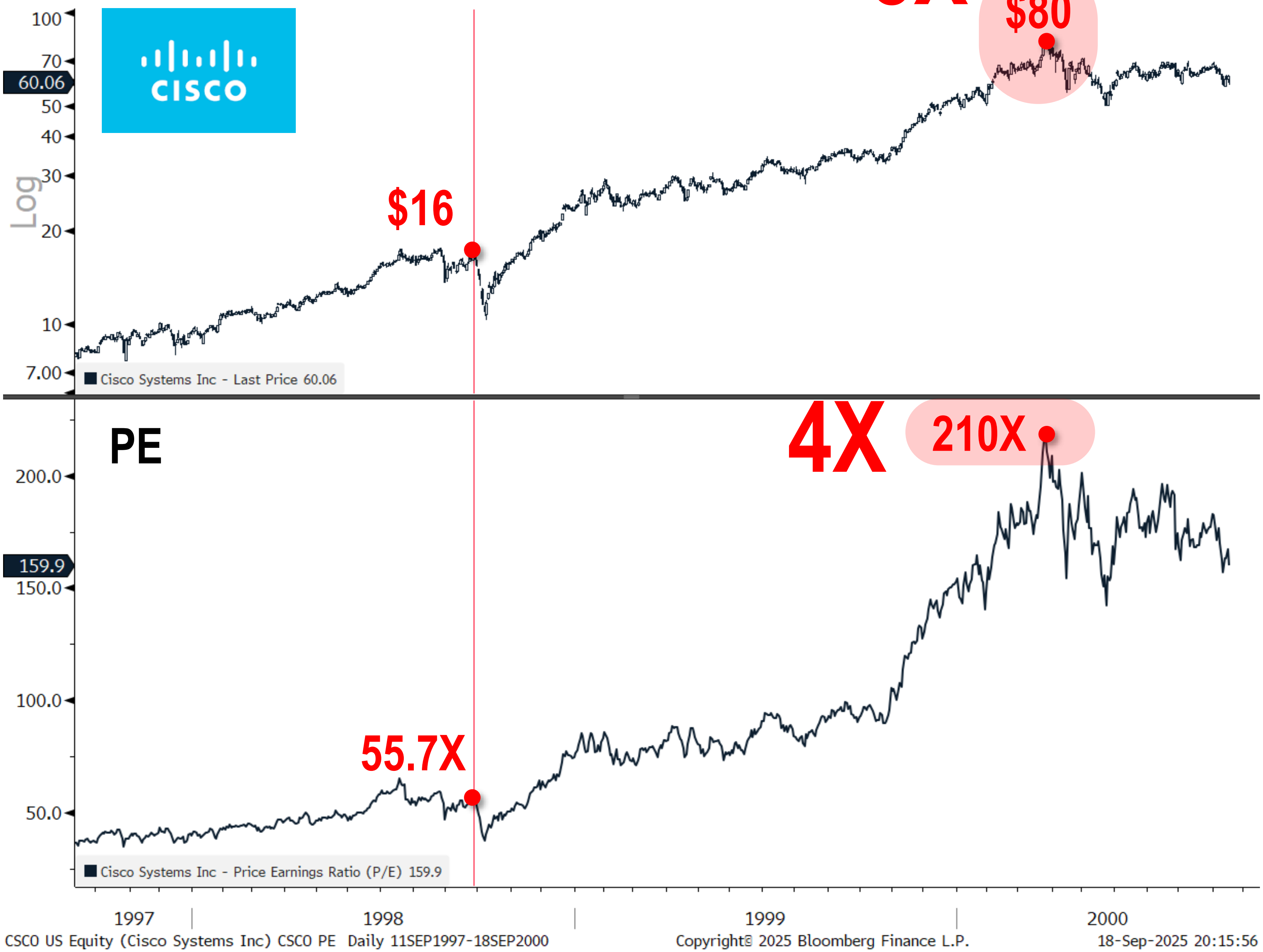


# CSCO: 1997 to 2000







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**Bottom In**

Source: Fundstrat, Bloomberg

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Source: Fundstrat, Bloomberg

## STRATEGY

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Buy the dip
Buy the dip

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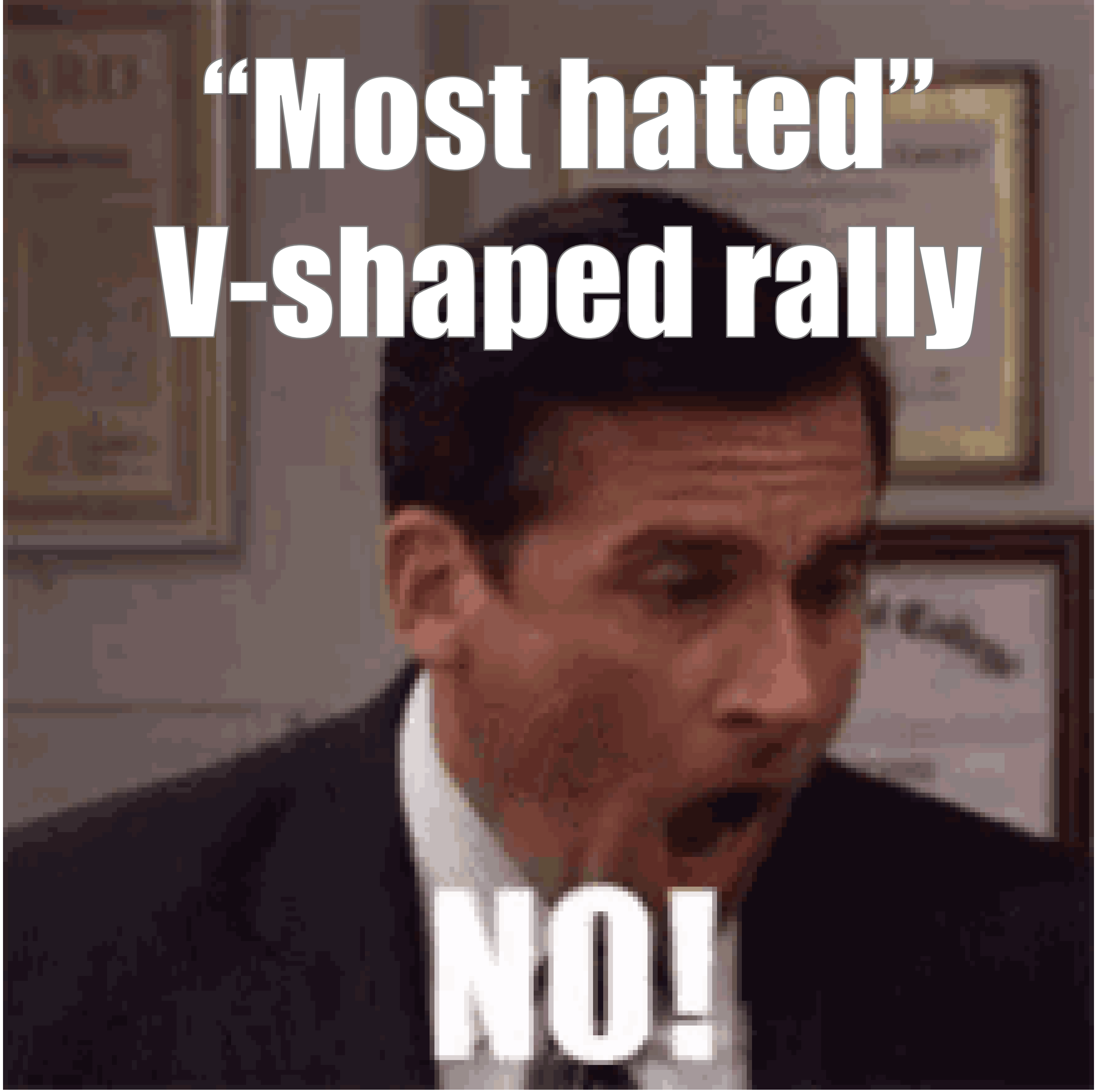

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Positive (+): The analyst expects the performance of his industry/sector coverage universe over the next 6-18 months to be attractive vs. the relevant broad market benchmark, being the S&P 500 for North America.

Neutral (N): The analyst expects the performance of his or her industry/sector coverage universe over the next 6-18 months to be in line with the relevant broad market benchmark, being the S&P 500 for North America.

Negative (-): The analyst expects his or her industry coverage universe over the next 6-18 months to underperform vs. the relevant broad market benchmark, being the S&P 500 for North America.

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